

NIGERIAN ENTREPRENEURSHIP ENVIRONMENT

Nigerian Business Environment

NOT FOR SALE

Nigeria is the strongest economy in Africa and one of the largest worldwide. It plays a leading role in Economic Community of West African States (ECOWAS) and benefits from the customs duty exemptions that this membership provides. This membership allows Nigerian companies to take advantage of the free trade agreement between the ECOWAS' 15 member states. The most populous country in Africa, Nigeria accounts for one-sixth of Africa's population and the largest Gross Domestic Product (GDP) in Africa. Focus is placed on the industrialization and diversification of the country's economy to accommodate the non-oil sectors. Nigeria is a Federal Republic with thirty-six States and Abuja as the capital city.

Nigeria is the largest investment market in Africa. It is a safe haven for foreign capital and offers investors fiscal incentives, investment guarantees, stable political and legal environment. Nigeria offers a low corporate tax regime, VAT rate and flexible labor market conditions, and simple procedures for establishing a business. Multinational companies are encouraged to start up operations under the Free Trade Zone (FTZ). The FTZ regime is the flagship of Nigeria's export and investment promotion strategy. The Free Zone regime is a set of incentives and benefits granted by the Nigeria government to companies making investments in the country, as stated in the Nigeria Export Processing Zones Act and the Oil and Gas Export Free Zone Act.

Competitive Advantages of Nigeria

There are far-reaching action plans aimed at encouraging foreign participation in the Nigerian business environment. The variety of opportunities and competitive costs make Nigeria an excellent destination for investment. Nigeria is the top recipient of Foreign Direct Investments (FDI) in Africa with a gross domestic product rate that averaged more than 6% over the last decade. This followed a deliberate attempt by government to diversify the economy and liberalize the Nigerian business environment to accommodate the private sector as the engine of growth while government remains the enabler.

Besides its exceptional location at the heart of Africa and long-standing tradition as an exemplary country for establishing African headquarters, the Nigerian business environment offers foreign companies a unique combination of:

- x Favorable tax incentives such as tax holidays and investment guarantees
- x Largest population in Africa for affordable labour (over 180 million people)
- x Largest market in Africa (nearly 400 billion USD dollars)
- x Accessibility from all key locations in the world via air transportation and telecommunications networks;
- x Rich farmlands that can be used for commercial agriculture
- x Affordable office and residential buildings
- x Low cost of living.

CULTURAL FACTORS INFLUENCING ENTREPRENEURSHIP IN THE NIGERIAN BUSINESS ENVIRONMENT

The particular cultural factors, attributes and variables found in the literature and relevant to entrepreneurship are discussed below:

Family Influence on Individual for Entrepreneurial Behavior

Family as unit of socio-cultural activities according to Kennedy et al.(2003) provides platform for initiating economic activity for the creation of firms and growth. Family is an important aspect of culture and it can greatly influence the performance of its members (Steier 2004). Family background is capable of inculcating a business culture or tradition of self-employment in members and may provide access to capital and information within the family. On the other hand, family business has greater influence on entrepreneurial intention because family has a greater role in career choice and can motivate any family member who wants to become entrepreneur. (Carr et al.2007).

Peer Groups and Entrepreneurial Intention

Peer group has significant effect on entrepreneurial intention and a source for social interaction (Pihie 2009). Peers have a greater role in influencing an individual's decision to become entrepreneurs and they also help in determining entrepreneurial careers through necessary information, knowledge and guidance as well as moral supports (Keat 2011).Peers and friends played an important part as role models in so many cases.

Values and Norms

Values and norms are the standard patterns of human behavior to control them which shapes the human cognition and motivational variables to guide choices, commitments and standards of behaviors. Social norms impact the individual-level decision-making process and can help an individual in changing behavior according to environment (Meek et. al. 2010). Subjective norms have influence on entrepreneurial behavior due to unemployment and family commitment. Expectations of family and friends influence an individual for entrepreneurial behavior (Kennedy et. al. 2003). Nearly all the other mental programmes, that is, the subjective underlying culture traits; carry a value component. Values connotes "abroad tendency to prefer certain states of affairs over others"(Hofstede, 1980). Thus, in trying to understand the entrepreneurial behavior of a nation or ethnic group, it is appropriate to first analyze their culture and its underpinning value systems.

Religion

Religion determines a person's basic values and beliefs which in turn affect entrepreneurship. Weber argued that Protestantism encouraged a culture that emphasized individualism, achievement motivation, legitimating entrepreneurial vocations, rationality, asceticism and self-reliance. The protestant work ethics discouraged extravagance, conspicuous consumption and indolence. However, Weber (1976) felt that this ethos of rational individualism was absent in other spiritual traditions. For instance, he argued that a rational economic ethic would not develop in Hinduism owing to its belief in the caste system, fate, rebirth, excessive ritualism and reliance on magic.

Education and Entrepreneurial Motivation

Education has significant effect on entrepreneurial intention based on studies conducted by Tucker and Selcuk (2009). General education and entrepreneurial education can enhance or hinder the development of entrepreneurial knowledge and skills by learners. Entrepreneurship education provides various opportunities for students in social interactions with their teachers and peer groups which affect the entrepreneurial learning process and provide a source for entrepreneurial intention. These interactions with peers, help learners develop their potentials and new ideas and also on how to recognize new opportunities as well as opportunity creation through knowledge sharing. Education especially, entrepreneurship education provides opportunities for students to have social interactions with their peers from different backgrounds and entrepreneurs in various occasions (Pihie 2009).

Factors Discouraging Entrepreneurship in Nigeria

There are some factors that make Nigeria's business environment unfriendly and unsafe for investment. Despite the growth of the economy and the various business opportunities in Nigeria, these challenges in Nigeria's general environment stand as constraints to the survival of business in the country.

Insecurity

Insecurity manifests in different forms such as: anxiety, fear, instability, uncertainty, danger, hazard; absence of safety; and lack of protection. There is high level of insecurity in Nigeria. Most entrepreneurs will not be willing to invest in any country, city, or a town that is not secured. Many companies in the Northern part of the country have stopped operation due to Boko Haram scourge (Ogunro 2014).

Multiple Tax system

Taxation is a compulsory levy by government through its various agencies on the income, capital or consumption of its subjects. Multiple taxation is a situation where the same profit or income is taxed two or more times at different levels. Multiple taxation means the subjection of the same personal or corporate income to more than one tax treatment or imposition. There is multiplicity of taxes by three tiers of government which makes the cost of doing business higher than the necessary.

Poor Power Supply

Nigerian government has not been able to find a lasting solution to the problem of poor power supply in the country which has been negatively affecting both small and big businesses. There is insufficient energy generation and distribution in Nigeria. Electricity is the life wire of any manufacturing company particularly, large scale industries which use automation of different kinds. The supply of electricity in Nigeria is poor to the extent that companies are forced to quit businesses in Nigeria and relocate to other African countries. This is because, alternative power supply increases overhead cost of doing business, which is capable of affecting the overall purpose and goal of doing business. Hundreds of infant industries in the country have disappeared because of the overwhelming costs of running generators

The inability of Nigeria to provide adequate power supply has inevitably crippled the economy as many industries have been caused to shut down or cut down on expenses due to using generators which has made them to either reduce workers or close down completely thereby making more able-bodied people without work.

Poor Transportation Network and Connectivity

The significance of good transportation system to a nation cannot be overlooked as its efficiency act as catalysts for national development. The state of the Nigeria roads is another factor that discourages new entry into entrepreneurship and the growth of existing entrepreneurs. The cost of air transportation in Nigeria is very high and the rail transport is almost not functioning. The Nigerian transport infrastructure is largely unfavorable in terms of quality and service coverage when compared with some African nations, especially in the rural areas.

Lack of Enabling Environment and Infrastructure

The Nigerian business environment lacks basic amenities and infrastructure that aids and helps business development and survival. For example, if an investor intends to start or set up a production firm, he or she will find out that they need to provide their building, water supply, logistics and other amenities needed Fulmer (2009) added that infrastructure includes all the services and facilities that are indispensable for an economy to function well. Onugu (2005) identified infrastructures one of the ten major challenges facing Nigerian SMEs. According to Aminu, Salau and Pearce (2013) not all types of infrastructure are adequately developed in Nigeria, According to Anyadike, Emeh and Ukah (2012) the worldwide idea about infrastructural facilities is that a number of indispensable infrastructural facilities give support to productivity and abet the development of the body and mind of citizens in any environment. In Nigeria, th

basic facilities such as good water supply, good roads, constant power, easy information accessibility and several other tools of trade as well as an enabling environment are not adequately available in the country. This situation has frustrated a lot of potential entrepreneurs especially among the youths with bright idea. In spite of the obvious importance of infrastructure to the nation, governments both at the national and local levels have continued to pay lip service to the provision of infrastructure (Financial News, 2014). As a consequence, the country's growth prospect is undermined.

NEW VENTURE CAPITAL NEEDS, ESTIMATION AND SOURCING

INTRODUCTION

The question most entrepreneurs commonly struggle with is: How can I finance my new business? They believe that money is the basic driver of successful new venture. This is not true, because throwing good money at bad idea doesn't change it into a good idea; it just delays the inevitable failure. In the same way putting a lot of money into the hands of inept team or employees is like throwing it away. The various sources of finance are first explained in this Chapter followed by discussions on the management of the various components of working capital which constitute business investment in current assets: cash, accounts receivable, short-term or marketable securities and inventories. The chapter also dwells on record keeping especially financial records and the objectives of record keeping. The other critical aspect of small business management is the management of its employees. Therefore, discussions in this Chapter extend to the basic functions of human resource management which are classified into acquisition, utilization and maintenance, and employee separation and retention functions. The last part of the Chapter covers fundamental aspects of knowledge management in business organizations particularly the meaning of knowledge, explanation to distinguish between explicit and tacit knowledge, the meaning, purpose and significance of knowledge management, and the benefits of knowledge management to business organizations.

CAPITAL NEEDS OF A NEW BUSINESS

All businesses need finance for successful operations and one of the major problems of most small business owners is obtaining sufficient capital at a reasonable price to acquire the resources needed to start and operate the business smoothly. The success of any business depends on the availability of sufficient funds. Funds are needed for

- a. **Fixed asset** : fixed asset are those physical asset
- b. **Working capital**: Working capital are those assets of a business enterprise that do not change form in the course of production and expected to be used within a short time because they are mostly perishable. The cycle of working capital in a typical manufacturing business moves from cash to raw materials, work-in-progress or work-in-process, to finished products and goods. However, because the business enterprise occasionally buys raw materials on credit which gives rise to account payables, and sells on credit which result in account receivables; these two are included in the components of working capital in addition to short-term investment securities. The components of working capital are from cash for raw materials, work-in-progress or work-in-process, finished products and goods, account payables, account receivables, and marketable securities
- c. **General Operational and Contingency expenses**: Operational expenses include money required for direct and indirect expenses to ensure smooth operations of the business such as salaries, power supply (electricity, diesel and petrol), transport, repairs and maintenance, etc. In the same way there should be money set aside for unforeseen contingency such as unexpected losses. Contingency funds can be kept in fixed deposit accounts in a reliable bank or any short-term financial investment. Promotional expenses: There is need to communicate with the public: the stakeholders such as customers, suppliers, people in the immediate community, competitors, interest groups, governments, and financiers. Communication tools cost money. Funds is usually budgeted for advertising, sale promotion, publicity, personal selling, and public relations. Effective marketing

communications is required for success in the market through attracting and retaining customers, enhancing corporate image, etc.

- d. **Personal expenses:** The entrepreneur, especially a small business owner-manager needs money to cater for family and personal needs, especially if he or she is going to the business on a full-time basis. Expenses for personal and family needs should be carefully estimated and budgeted. However, if the business engagement is part-time where the entrepreneur is presently working for another somewhere, he or she can rely on regular income from salary to meet personal expenses.
- e. **Future Expansion:** Entrepreneurs that desire future growth of their businesses usually make provisions for the finance required for additional infrastructures and working capital expenses. In some cases, the money set aside may not be adequate to cater for growth requirements, but not making provision at all may mean loss of opportunities.

ESTIMATION OF CAPITAL REQUIREMENTS

Estimated capital must meet the need for fixed assets, working capital, promotional expenses, contingencies, and personal expenses. In Nigeria, there is no available ready information that can assist entrepreneurs on the estimation of capital requirements for new businesses which may be based on industry averages as found in developed countries. Entrepreneurs usually rely on empirical studies by visiting those already in the line of business and getting price lists or pro forma invoices from sellers of required items.

It is important for the entrepreneur to seek the right kind of money from the right sources after the appropriate size of required capital has been estimated for each the capital requirements above.

SOURCES OF FINANCE FOR ENTREPRENEURS

Start-up businesses are inherently risky investments; there are limited numbers of sources of financing. However, as the business begins to grow, lenders and investors would begin to develop confidence in the business.

The basic sources of finance that an entrepreneur can utilize include personal funds, family and friends, other internal sources, supplier and trade credit, bartering, venture capitalists, angel capitalists, commercial and other financial institutions, bootstrap financing, and state-funded venture capital. These and other sources shall be briefly discussed in turns.

Personal Funds

Only few, if any, new ventures are started without the personal funds of the entrepreneur. The owner's personal funds or promoter's fund as otherwise called are the least expensive in terms of cost and control and they serve as base for attracting outside funding from banks, private investors, and venture capitalists. Personal funds are usually from savings, life insurance, or mortgage on a house or car, and sale of personal assets.

Family and Friends

Family and friends are most likely to invest in the new venture due to their relationship with the entrepreneur. These sources of funds are easy to access but they provide a small amount of equity funding and they must be carefully evaluated in terms of cost and other implications to avoid future problems.

Other Internal Sources

Apart from the personal funds of the small business entrepreneur in the business, there are other internal sources of funds that are peculiar to an existing venture. Internally generated funds can emanate from the following sources.

Retained profits: It is an accepted practice to finance the fixed and working capital requirement of a business from profits generated from the previous business activities of the venture. Instead of taking the profit out of the business in the form of dividends, such profit can be ploughed back to its operations.

Provisions: Provision for tax and depreciation are another internal source of finance. Since business tax are payable at the end of the financial year after profits have been declared, this amount could serve as a source of fund for small business firm. Furthermore, annual provisions for depreciation represent cash retained by the enterprise over and above the normal undistributed profit for the replacement of fixed asset which means such money can be available for more than a year.

Reducing current asset: Reducing current assets is a source of fund and large amount of money could be made available for financing the activities of the venture.

Supplier and Trade Credit

Supplier or vendor financing and trade credit constitute the largest and most accessible sources of funding because suppliers and customers are colleagues in the same industry; they understand the entrepreneur's business and desire to be part of the success story. Suppliers can offer extended payment terms or special terms such as price concessions or discounts favorable to the business. In the same way advance payments by customers can assist the entrepreneur in many ways especially in reducing the pressure for cash requirements. Entrepreneurs can structure deals with suppliers and customers that will help reduce expenditures for marketing, raw materials, or research and development. This type of partnership with another business - whether formal or informal is called strategic alliance.

Bartering

Barter is an increasing popular method of financing new ventures. Bartering in its simplest form consists of two companies swapping items of roughly equal value. Bartering lends itself to many uses, such as (1) business travel, (2) debt collection, (3) closing a sale, (4) employee perks and bonuses, and (5) a line of credit.

Venture Capitalists

Venture capitalists include wealthy individuals who make equity investments in businesses especially small firms with opportunities for fast growth through the organizations and networks they have established or some institutes. Unlike banks, which lend money that is mostly secured, venture capitalists don't lend money; they buy a piece of the business. They gamble on the business's rapid growth hoping to reap a hundred folds return on their investment within 3-5 years when the business goes public or is sold. In general, venture capital network is a way for entrepreneurs to gain access to investors they may not be able to contact through other channels. Venture capitalist comes in different shapes such as family businesses, industrial businesses, banks, and other organizations like insurance.

Angel Capitalists

Business angels or angel capitalists are individuals with means and desire to invest directly in small companies. The desire of angels to invest is fueled by their particular knowledge and interest in the market or industry, rather than purely financial interest. As sources of equity finance for new and nascent businesses, business angels may just appear and sometimes it is unlikely. Therefore, to tap financial patrons, such as friends, relatives, and wealthy individuals, there will be need, as opined by Ryan and Hilduke (2006), to search out potential investors.

Factoring

It is a method of short-term financing where debts are sold to a factor by an arrangement. A factor then assumes all the credit risks associated with the account receivables. Though costly, factoring has the advantage of converting an account receivable into cash and thus saves the seller the stress of pursuing payment.

Commercial and other Financial Institutions

Traditional financial institutions may provide an entrepreneur with borrowed funds. Although, the cost of securing funds from financial institutions higher than that of other alternatives but they are usually the most accessible. Financial institutions include commercial banks, insurance companies and commercial finance companies (non-deposit-type organizations). Commercial banks offer different types of facilities, such as secured and unsecured loans, pledging, inventory financing, line of credit, and revolving credit agreement.

Bootstrapping Financing

Bootstrapping is very important at start-up and in early years of the venture because capital from debt financing (due to higher interest rates) and equity financing (due to loss of ownership/ownership dilution) is more expensive. Outside financing has other disadvantages, such as delay because it takes months to cut the deal, reduction in the business's flexibility, and possible disruption and problems in the venture. Bootstrapping financing refers to techniques for conserving cash and using other people's resources whenever feasible. It involves begging, borrowing, or leasing everything needed to start a new venture. Some bootstrapping tips for conserving cash include hiring as few employees as possible, leasing major equipment and facilities rather than purchasing them, and using other people's money through getting customers involved in your business, offering employees more of nonmonetary motivation or reward, and securing better terms from suppliers.

State-Funded Venture Capital

Some of the world's most influential enterprises, including Google, Intel, and Apple, were financed by venture capitalists. Rapidly growing entrepreneurial enterprises are thought to be important sources of innovation, employment, and productivity growth. Thus, it is not surprising that many governments have provided financing to entrepreneurial ventures. The public sector's commitment to venture capital is substantial, including forgone taxes, outright subsidies, preferential regulation, and public provision of investment capital.

CRITERIA FOR SELECTING CAPITAL SOURCES

Such criteria may include the availability of the source, the cost associated with it, its flexibility in terms of loan terms, repayment options, equity rights, and exit clauses, its alignment with the project's goals and timeline, as well as the relationship between the capital source and the developer. Finance is needed for several purposes and different purposes need sources of finance which are most suitable to them. When choosing an appropriate source of finance some factors have to be considered. The factors that need to be considered when choosing an appropriate source of finance are:

1. **The amount of money needed:** This is the amount of finance the organization wants to raise. Not all sources of finance provide all amounts of funds. Some sources are notable to raise large amounts of funds whereas others are not flexible enough to put up for the small sum of money the business requires. Therefore, it is necessary to determine the amount of money needed by the company to choose a suitable source of finance. For example, borrowing a commercial loan for a small and short-term cash-flow problem is unwise because loans may have a minimum amount that can be borrowed so taking a bank overdraft would be wise where money can be borrowed in small sums and bank overdrafts can be paid back quickly.
2. **Urgency in the Requirement for funds:** This relates to the amount of time the business can spend on collecting funds. If the business has plenty of time before its financial needs need to be met then it can spend time searching for alternative sources of finance that are relatively economical. On the other hand, if the business wants the money as soon as possible then it would have to make some cost sacrifices and accept a source of finance that may even cost higher. In the same way, issuing shares is a very long and complex process where there are legal requirements and then the potential shareholders have to be informed

(advertising) and after all these the money is collected through the process of application and allotment which takes more time. Therefore, it cannot be used to satisfy urgent needs for funds.

3. **The cost of the source of finance:** Different sources of finance have different costs. It is more profitable for a business to seek and obtain cheaper sources of finance, provided other terms and conditions are also favorable. Sometimes however the time does not permit organizations to look for cheaper sources of funds. Internal sources of finance are always cheaper than external sources of finance.

4. **The risk involved:** The risk involved is the certainty of getting the money and its interest back by the lender. This however, depends on the investment made using the finance. If the financier is not confident that the project will bring returns, it will be difficult or impossible for the lender to provide the business with funds. In this case the money can be secured against an asset as collateral which will encourage the lender to lend.

5. **The duration of finance:** This is the time period the borrower will be using the money. It can be for a short-term (within one year), medium-term (one to five years) or long-term (five years and more) time period. By identifying the length of requirement of finance the borrowing organization can eliminate inappropriate sources of finance and choose a source of finance that is more suitable for the required time frame. 6. The gearing ratio of the business: The gearing ratio plays an important role in the capacity of a business organization to easily access credit facilities from financial institutions. The gearing ratio shows the ratio of debt capital to the total capital of a business or debt to equity ratio position of the business. If a business is high geared, that is not financially healthy, then commercial lenders will not be willing to give loans to such business because of higher debt ratio. A high geared company will have to pay more of its profits as interests on loans and other debt capital. This makes it very difficult or impossible to continue to honour its financial obligations on any new credit facility.

7. **Management or Ownership Delusion:** Most existing partners or shareholders of a company are usually reluctant to issue shares because this would cause a dilution in control of the business. Issuing shares in public limited companies also gives opportunity of takeovers by outside parties. The same can be said for venture capitalists where the money is invested as equity and being owners, the venture capitalists have the right to influence how the business is run. The existing shareholders and owners of a business who would not want any change to arise in the control and ownership of the business would reject any sources of equity finance.

CONDITIONS FOR GRANTING LOANS BY BANKS AND OTHER LENDERS

There are so many conditions that banks and other financial institutions usually consider before granting facilities to borrowers. Some of these conditions are explained as follows.

1. Credit History

Having a good credit history is a priority for banks when granting a business loan application. If your business or you need a better credit score, the chances of getting your loan approved for your business may seem challenging. Lenders, especially banks, are always concerned about the loan repayment capacity of the borrower, which is why they need to keep track of the borrower's business and personal credit score. On average, banks prefer to lend money to businesses whose credit score lies between seven hundred and seven hundred and fifty. A business with a good credit score has a good credit history, indicating strong money management skills. Conversely, if the company has a CIBIL score of below 680, it is a sign of bad credit history, and banks consider such businesses a potential risk in terms of repayment.

2. Cash Flow

If a business has low cash flow, the business is considered a potential risk by banks. A low cash flow means the borrower will take more care of their business costs and expenses than their credits. To learn about the business's income and cash flow, banks check the business accounts' bank statements and the business

owner's bank statements. However, business owners can enhance their cash flow by setting goals, doing a cash flow analysis of their business and putting a well-defined payment cycle in place.

3. Collateral

Banks offer secured and unsecured loans to businesses. In order to limit the risks involved in credit facilities, banks usually request a guarantee for secured lending. Therefore, banks need to know beforehand the kind of security or collateral the business will offer in exchange for the loan. The security or collateral can be a commercial real estate property, machinery or costly equipment of your business, vehicles, accounts receivable and other business assets.

Collateral is an asset that banks want to secure the business loan or the line of credit. The bank may also accept a second or third lien on a primary residence as security. Before granting the loan, banks will consider the asset's appraised value and ease of liquidation. Most banks lend only up to a certain percentage of the asset's appraised value. Besides collateral, banks might even want to see a personal guarantee from their borrowers. This puts banks in a safe position, and business owners are encouraged to work with the bank to ensure the business' success.

4. Repayment Capacity

Banks want to ensure the complete repayment of the business loan, and the borrower's ability to pay back which is defined as borrowing capacity. When a business owner applies for a loan, they authorize the lender to check their bank statement, credit history and last year's ITR to know their repayment capacity. This allows the bank to evaluate the business' repayment history of their previous or existing loans. Furthermore, the transactions made by the business indicate credits and debits that the company currently carries. After studying these, banks calculate the borrower's debt-to-credit ratio to reject or approve a specific business loan application.

5. Documents

Businesses cannot exist without documents. Every business requires legal and government documents to start, operate and expand. Whilst different lenders may have different eligibility criteria for approving business loans, they all ask for relevant documents. Some of the documents required by banks before granting a loan to a business are as follows:

- x Identity proof: National ID card, driving license, passport, PAN card, voter's ID, etc.
- x Address proof: electricity bill telephone bill, ration card, trade licence, passport, sales tax certificate, lease agreement, etc.
- x Income proof: bank statement of the last six months.
- x Financial documents: last two years ITR, along with computation of balance sheet, income & profit loss account for the last two years, etc.
- x Proof of business continuation.
- x Business ownership proof: certified true copy of Memorandum & Articles of Association, sole proprietorship declaration, business license, etc.
- x Last three years audited financials.

By submitting these documents, businesses can show it is legal and does not pose a massive risk to the bank. If all the documents are approved, it will take banks only a short time to sanction the loan amount requested by the business owner.

NAME AND LOCATION SELECTION, AND REGISTRATION OF THE ENTERPRISE

Choosing a Name for a Business

Suggestions for choosing a winning name for your business are explained below:

1. Avoid hard-to-spell names.

You don't want potential customers getting confused about how to find your business online. (I never understood why-Flickr was pushed as the name for the phot haring site.) You want to avoid having to continually correct the misspelled version of your name. Keep it simple.

2. Don't pick a name that could be limiting as your business grows.

Picking too narrow of a name may cause you problems down the road. Avoid a business name that narrows the scope of your business either by product/service, purpose or market. For example, Abuja Bridals, UK Education Agency, Zamzani Farm Produce Agents, or Car Lubricant Dealers. You don't want to limit your business to a particular product or a specific city.

3. Conduct a thorough Internet search.

Once you have determined a name you like, do a web search on the name. More often than not, you will find that someone else is already using that business name. While that won't be a total showstopper, it should give you pause.

4. Get the .com domain name.

My strong preference is that you secure the-.com. domain name for your business rather than alternatives such as net, org, biz, or other possible Domain extensions. Customers tend to associate a .com name with a more established business. Undoubtedly, someone will already own your desired com name, but many domain owners are willing to sell their name for the right price. Also make sure to grab your desired business name on popular social media sites such as Facebook, Twitter, and Pinterest

1. Use a name that conveys some meaning.

Ideally, you want the business name to convey something meaningful and positive related to your business. Can people instantly get what your business is about? While meaningless names like-Google,-Yahoo, or -Zappos have some appeal due to their catchiness, these kinds of names will cost you a lot more to brand.

2. Conduct a trademark search.

Do a search on the Internet to get an idea as to whether you can get a trademark or service mark for the name.

3. Conduct a Name search with the Corporate Affairs Commission.

Since you will likely want to structure your business as a corporation or LLC, you should do a search in the Corporate Affairs Commission's office to make sure your name won't be confusingly similar to a business name that's already registered. If it is too similar to an existing name, you may not be allowed to register it. Your corporate lawyer can help you conduct this kind of search.

4. Assess if the name is catchy.

Obviously, you don't want a boring name for your business, but you also don't want to choose something that's too -out there. You want your employees to be able to say where they work without hesitation, and you want your name to resonate with your target audience.

5. Get feedback on the name.

Come up with 5 or 10 names and then run them by friends, family members, and trusted colleagues. Get feedback from your target audience as well.' And make sure that the name

Discuss with knowledgeable people

8. Conduct a trademark search.

9. Make sure you are personally happy with the name.

In summary, choosing a name for your business requires that you

X Ensure the name resonates with the nature of the business.

x Pick a name that is easy to pronounce.

x Make sure the domain name is available.

X Avoid similar names with existing businesses.

x You can use your name.

x Check a name generator online.

x Make sure the name can be easily abbreviated.

Procedure for Registering a Business Name

In Nigeria, business name selection and approval as a process involves the Corporate Affairs Commission (CAC). The CAC is the body responsible for registering and regulating business entities in Nigeria. Here are the steps to follow:

x **Conduct a business name search** :You must search the CAC database to ensure that the name you want to use is available and not already taken. You can do this online at the CAC website.

x **Reserve the name**: Once you have found an available name, you can reserve it for a period of 60 days. This gives you enough time to prepare and submit your application to the CAC.

x **Prepare and submit your application**: You will need to prepare several documents to submit to the CAC, including a completed application form, a business name registration form, and the appropriate fees.

x **Wait for approval**: The CAC will review your application and, if approved, will issue you a certificate of registration. This certificate serves as proof that you can operate your business under the chosen name in Nigeria.

It is important to note that the CAC has guidelines for business name selection in Nigeria. The name must not be identical or too similar to a name that is already registered, and it must not be offensive or misleading. It is recommended that you seek legal advice to ensure that your chosen name complies with CAC guidelines.

FACTORY OR FACILITY LOCATION

In choosing a location for an enterprise many factors must be considered by the entrepreneur. These factors are:

x **Proximity to Suppliers of Raw Materials**: Sitting a business near the suppliers of main inputs has many advantages. One, it reduces transport and carriage expenses. Two, it enhances flexibility and three, constant factory-supplier dialogues on technical and delivery problems can easily be handled.

x **Transport: Good transport facilities are very important to the success of any business.** Good roads would enhance quick delivery to customers. To the business, it reduces expenses. For large-scale businesses, siting a factory close to the airports or railway stations is equally an advantage.

x **Safety:** Small business owners must consider the safety of the immediate community they intend to site their businesses. An environment that is volatile or experiences frequent burglaries is not advisable for small business owners.

However, large businesses such as fertilizer plants, explosive factories, refineries are of a necessity located far from residential areas.

x **Legal Consideration:** Siting any business would equally require the consideration of government's laws and policies. For example, it is against the law to site some types of business in some areas due to the adverse effects such may have on the immediate community.

x **Banking Facility:** To avoid carrying of heavy cash which is risky, it is advisable for a factory to be located close to a bank.

x **Essential Services:** These include water, electricity, gas, diesel, petrol and waste disposal. All these services are very vital to the successful operation of any business.

x **Labour:** Availability of skilled labour should equally not be overlooked.

x **Sufficient Market:** People that need the product or service output of a business must have, money to spend, and the willingness to spend must be available in adequate number to provide profitable sales for the business.

x **Available Inducements** Some state governments offer tax rebates or holidays, low cost of land, low rentals and ready factory sites as inducements to attract industrial plants to their states. To utilize such financial opportunities, business owners can site their businesses in such places.

REQUIREMENTS FOR BUSINESS REGISTRATION IN NIGERIA

Below are the requirements an applicant must provide to commence the registration of a limited liability company in Nigeria:

1. The registered address of the proposed company
2. Email and phone number of the proposed company
3. Forms of identification such as National Identity Card, International Passport, Driver's license of the directors and shareholders.
4. Approval note of name reservation from CAC
5. Director(s) & shareholders(s) full names, residential address, occupation and date of birth.
6. Objects of the company
7. Statutory fees and Stamp duty
8. Incorporation certificate and company resolution where another registered company (either local or foreign) will be a shareholder or subscriber to the proposed company.

CURRENT PROCEDURE FOR COMPANY REGISTRATION IN NIGERIA

The steps below show the procedure for company registration in Nigeria

1. Conduct a company name search: the first step in company registration is to conduct a name search at CAC's company registration portal. This search can be conducted by an accredited agent where one is hired for the registration. The applicant is to provide two names, which can be used to conduct the search. The name search takes about 24 to 48 hours to be completed. If the name is approved, the CAC will issue an Approval Note indicating the name has been reserved for registration for the applicant.
2. Complete & prepare the MEMART and other statutory forms: after the name has been reserved, the next step is to complete the online statutory forms, which include Application for Registration of Company Form and Memorandum and Articles of Association (MEMART). To complete the forms, the applicant must provide details of directors & shareholders; details of the company; shareholding structure; objectives of the company other information.
3. Pay the Stamp duty and filing Fee: after all necessary have been provided, the CAC registration fee and stamp duty must be paid through the portal. These fees are dependent on the number of share the company will have. The higher the share capital, the higher the fees to be paid. It is important to note that the applicant needs not to pay or show evidence of having the share capital during the registration process.
4. Uploading relevant documents: the next step is to upload relevant documents such as identification cards or the directors and shareholders. And where any registered or existing company will be a shareholder, it is also important to upload the incorporation certificate of such a company.
5. Submission of registration application online: once all the statutory forms have been completed and necessary documentation uploaded online, the application can be submitted for registration.
6. If the registration is approved, the electronic incorporation certificates together with the Tax Identification Number and other incorporation documents will be issued by CAC for the company.
7. The applicant or its agent can then download the Certificate, Application for Registration Form and MEMART online.
8. In closing, the CAC registration process must be carried out strictly in compliance with the CAC regulations, especially the authorized share capital requirement for each business. For instance, a company intending to engage in a payment gateway business must have a minimum of 100 Million Naira authorized share capital, and where any foreign individual or foreign company is to be involved in the proposed company as a director or shareholder, the authorized share capital of the proposed company must be a minimum of Ten Million Naira.

FACTORY LAYOUT

The layout of every factory must be properly planned. Factory or plant layout is the proper arrangement of production facilities in a site in a way that efficiency would be continuously achieved. Plant layout involves the logical arrangement of production and service departments and arrangement of production equipment in the buildings. It is the arrangement and location of production machinery, work centers, auxiliary facilities and activities for the purpose of achieving efficiency in manufacturing products or supplying consumer services.

FACTORS TO BE CONSIDERED IN LAYING OUT A PLANT

There are many factors that influence plant layout

- x Types, volume and quality of products to be produced whether, solid, liquid or gas, product weight, durability and storage difficulties.
- x Type of production system; whether continuous or intermittent, single flow or multi-flows of materials.
- x Types of material handling system or equipment to be used.

- x The amount and kind of plant flexibility desired in relation to products, product design and new products.
- x Plans for future expansion.
- x Availability of space which depends on the shape and topography of the site that will affect characteristics of buildings and layout of plant and equipment.
- x Hazards prevention from moving parts of equipment, projecting equipment parts and suspended weights. To ensure the safety of personnel and plant much space may be needed.
- x Sequence of operations and its rigidity.
- x Types of inspection: centralized or decentralized inspection etc.

STRATEGIES FOR BUSINESS GROWTH AND RECOVERY

INTRODUCTION

New entry is one of the basic acts of entrepreneurship and the moment an entrepreneur has successfully entered the market, whether a new or an existing one, the opportunity for him or her to grow the business is generally provided. For example, introducing a new product into an existing market provides the opportunity to garner market share from competitors, entry into a new market provides the opportunity to service a new group of customers, and there is also the opportunity for a new business to make and build upon its first sales. It is difficult to provide any guidance on the timing and path of growth because a number of internal and external factors affect the entrepreneurial growth decision. In this Chapter, the focus will be on how to plan for growth especially the factors that affect the decision for or against growth by the entrepreneur, in addition to the reasons some small business entrepreneurs choose not to grow and expand their business. It is also imperative to explain the phases in new enterprise growth and the implications of growth for the firm and the entrepreneur of addition to how the challenges that are associated with growth can be overcome.

FACTORS THAT AFFECT GROWTH DECISIONS

The decision regarding growth is a complex one. Basically, entrepreneurs are faced with the first critical decision when it comes to growth: to grow or not to grow. The decision to grow or not to grow the new business does not rest only on the entrepreneur but can be based on a number of factors as explained by Allen (2006):

- (1) Demand for product or service.
- (2) Leadership effectiveness.
- (3) Willingness of employees to grow.
- (4) Commitment of primary stakeholders.
- (5) Clear job description, and
- (6) Vision or the degree of understanding of corporate vision by employees.

1 Demand for the product or service: Demand for the enterprise' product or service may compel the entrepreneur to keep up, or, by contrast, the market may not be big enough to permit the company's growth. Usually, when a company gets to a point where it is ready to growth to the next level, it will have a few employees and, of course, the founding team, and may not even possess the required resources. Therefore, to take that next step, there is need to consider some benchmarks for successful growth.

2 Leadership effectiveness: Successful growth requires effective leadership. Entrepreneurs are involved in every one of the activities of their business at start-up, but as the company begins to grow, they find it

necessary to delegate task to others. The more they delegate the more they realize that their job has suddenly changed, from doing the tasks of the business to leading the business. Leading a growing business involves provision of strategic leadership and tactical guidance for the whole organization. Strategic leadership involves development of the company's strategic goals, its vision and objectives, and ensuring that these goals are achieved. The entrepreneur must ensure that he/she guide the company and its people through motivation and coordination towards the attainment of its goal. This is important because everyone looks up to the entrepreneur for the accomplishment of basic objectives such as growth, profitability and survival. Effective leadership requires that the entrepreneur possesses the ability to inspire people into action.

3 Willingness of employees to grow: A small or medium-size enterprise can successfully grow and change if its people are willing or given opportunities to learn, grow and change. Corporate growth usually results in redesigning or enlarging jobs of organizational members and this means additional abilities and skills from them. Employees should therefore be encouraged to stretch beyond what they knew when they were employed in the early days of the company, to learn more aspects of the business, and to participate in how the business is run.

4 Commitment of primary stakeholders: Successful growth requires the commitment of primary stakeholders especially employees, customers, and financiers. Growth comes with change; new practices and processes, new products and services, and new requirements for finance. Effective growth requires support from these stakeholders. It is important for them to see the benefits they would get from the growth of the business.

5 Clear job description and team work: Achievement of growth also depends on a clear understanding by each member of the organization regarding his/her contribution to the financial success of the company. Everyone in the organization must be responsible and accountable for the prosperity of the entire company, and everyone must have a stake in that prosperity. Because teamwork is very vital in achieving rapid growth, it is also important to give responsibility and accountability for what they do so that these teams can operate effectively.

6 Vision or the degree of understanding of corporate vision by employees: The development of a strategic vision for a business is important for some reasons such as guide for resource allocation, avoidance of drift, selection of marketing opportunities, and identification of requirements for competitive success and advantages. Lack of vision for a business, no matter how small the business, can spell disaster for the business. In the same way, misunderstanding of a company's vision by its employee can create confusion and divergence amongst them. In such situations, employees would find it difficult to define the right customer for the company, and may lack guidelines for allocation of organizational resources especially the timing. The pursuit of growth without a clear vision is mostly the result of low profit margin or flat earnings out of increasingly high sales. To grow a company successfully and keep it healthy, its vision must be clear, motivating, and must be communicated to all its members.

PROBLEMS AND IMPLICATIONS OF GROWTH

Growth, especially its rate, is generally associated with challenges. Growth rates affect all aspects of an organization and the faster the rate of growth, the greater the potential for difficulty due to pressure, conflict, crisis, confusion, and loss of control. The rate at which this difficulty increases is usually faster than the rate of the business's growths briefly explained as follows:

1 Inability to Understand and Respond to the Businesses' Environment: The larger a business is, the more complex its environment, and the lower the direct contact between the owner or top managers and the realities of its environment. Such challenge makes it difficult for the business to gather timely and relevant information about its environment for the purpose of making decision. Corporate growth creates more managerial hierarchies and expanded scope of activities that hinder flexibility and prompt response to environmental changes.

2 Decision Making: Business growth poses two problems that are related to decision making: location and emphasis. Location of decision making is concerned with delegation while emphasis is concerned with the type of decision that requires much of the management attention. Delegation of responsibility and operational authority by the owner and the founding team of managers or top managers to subordinates becomes a problem in the area of extent of delegation. This, by extension, is concerned with the challenge of how much decision to be held back, that is, issues relating to centralization and decentralization. The other challenge relates to the type of decision that should be given much attention by top managers. A small business owner usually give attention to functional and tactical (short-term) plans or decisions but as the business grows the need for strategic decisions become apparent and top managers see it as a priority area.

However, successful growth requires that strategizing takes the back seat as a basic condition for enhancing rapid growth.

3 Opportunity Overload: Successful growth exposes a company to abundance of sales or new market opportunities. This problem, as good as it may seem, is as challenging as lacking enough sales or market opportunities. Managers of matured companies are mostly faced with a classic problem of choosing from among these competing opportunities. It is important to make critical but careful choice in this case because wrong choice would negatively affect the company's profitability and survival.

4 Abundance of Capital: One of the challenges of most stable or established small or medium-sized companies relate to difficulties in obtaining equity and debt financing. However, most of the rapidly growing firms are not constrained by difficulties in raising finance. The problem is, rather, how to evaluate investors as partners and terms of the deals with which they were presented. Choosing capital sourcing decision relates to capital structure decision which is usually regulated through policy that usually reflects capital mix, maturity and priority, and currency in case of foreign sourcing.

5 Misalignment of Cash burn and Collection Rates: Rapidly growing companies are mostly confronted with problems of cash burn rates racing ahead of collections. This misalignment can lead to chaos and collapse if not checked through effective integrated accounting, inventory, purchasing, shipping, and invoicing systems and controls.

6 Facility Expansion: Expanding facilities and space is a problem and one of the most disrupting events during the early explosive growth of an organization. Expansion of facilities and space often result in surprises, delays, organizational difficulties and system interruptions that managers of many of these companies are not really prepared for.

7 Pressures on the Entrepreneur and the Enterprise's Resources: Growth makes a company or a business bigger. Initially, the organization begins to benefit from the advantages of size such as production efficiency, enhancement of the firm legitimacy, and high attractiveness to suppliers. However, as the organization grows, challenges occur which result in managerial challenges of pressure on resources. These pressures include pressures on existing financial and human resources, and entrepreneur's time.

STRATEGIES FOR GROWING A BUSINESS

Once an entrepreneur has decided to grow his or her enterprise, the next concern would be the choice of strategy for growth. This crucial decision relates to strategic direction to follow in expanding the scope of the business and its market. Strategic directions have been classified by Ansoff (1965) into four: market penetration, market development, product development, and diversification. However, in this Chapter, the growth strategies in terms of direction that would be discussed include intensification, integration, and diversification and internationalization.

1 Intensification Strategies.

Intensification strategies are also referred to as specialization of intensive strategies. Intensification strategies are strategies that involve the efforts of the small business owner in directing resources to one or

his/her primary business in terms of their respective technologies individually or jointly. Intensification involves the commitment of businesses in doing what the small business owner knows he or her (and the team) is best at doing. The various intensification strategies are all linked to the idea of the product life cycle; they provide suitable means of extending the life cycle once it reaches a stage of maturity and potential decline, or replacement of a product that has declined or been abandoned. Intensification is the first-level growth strategy that usually involves different steps. Intensification steps or strategies include market penetration, market development, product development, and product innovation.

Market Penetration

A market-penetration strategy is any move that seeks to increase market share for present products or services in present markets through greater marketing effort. Market penetration strategy involves focusing intensely on existing markets with the enterprise's present products. Businesses adopting this strategy rely heavily on promotional strategies which can increase the rate of usage by existing consumers, attracting consumers or users of substitutes being offered by competitors, and general increase in sales not only through stimulation of primary demands but ensuring repeat purchases. Increase in patronage of an enterprise's existing products in present markets can be achieved through any of the following actions:

1. Increasing present customers rate of use:

- a. Increasing the size of purchase.
- b. Increasing the rate of product obsolescence to enhance frequent purchases.
- c. Advertising other uses.
- d. Giving price incentives for increased use.

2. Attracting competitor's customers:

- a. Establishing sharper brand differentiation.
- b. Increasing promotional effort.
- c. Initiating price cuts.

3. Attracting nonusers to buy the product:

- a. Inducing trial use through sampling, price incentives, and so on.
- b. Increasing or reducing price.
- c. Advertising new uses.

The two main advantages of market penetration as stated by Thompson and Martin (2005) are (1) it is generally associated with low risk because the strategy is based on known skills and capabilities, and (2) it enhances the development and improvement of the company's production and marketing skills because these skills are concentrated on specialized products and related consumers and not diversified products or unrelated consumers.

The five conditions that may make market penetration an appropriate strategy according to Kiley and Eldridge (2003) are:

1. When current markets are not saturated with a particular product or service.
2. When the usage rate of present customers could be increased significantly.

3. When the market shares of major competitors have been declining while total industry sales have been increasing.
4. When the correlation between sales revenue and marketing expenditures historically has been high.
5. When increased economies of sales provide major competitive advantages.

Market Development;

Market development consists of marketing present products, often with possible cosmetic modification and range increases to customers in related markets areas by adding channels of distributions or by changing the content of promotion. The cultivation of new markets, especially in other geographical locations where existing products are not yet popular, can be achieved, according Kotler (2002), through any of the following actions:

1. Opening additional geographic market:
 - a. Regional expansion.
 - b. National expansion.
 - c. International expansion.
2. Attracting other market segments:
 - a. Developing product versions to appeal consumers in other segments.
 - b. Entering other channels of distribution by attracting new marketing intermediaries.
 - c. Advertising in other media that have been rejected or neglected.

Market development commonly ranks second only to market penetration as the least costly and least risky of all grand strategies. The six conditions, according to David (1985), which may make market development an appropriate strategic option are:

- When new channels of distribution are available that are reliable, inexpensive and of good quality.
- When an organization is very successful at what it does.
- When new untapped or unsaturated markets exist.
- When an organization has the needed capital and human resources to manage expanded operations
- When an organization has excess production capacity.
- When an organization's basic industry is becoming rapidly global in scope.

Product Development

Product development is a strategy that seeks increased sales by improving or modifying present products or services in existing markets. Product development is a limited extension of organizational scope. In practice, even market penetration and market development will, to some extent, requires some product development. Product development involves an attempt to extend or prolong the product life cycle. Typically, the second and revised editions of a successful textbook are examples of product development. Other titles that show that a product has been modified or improved upon are new improved," extra," Classique," _super", and reloaded" or _reborn". Product development means changing some features of an existing product. Product development consists of product improvements which add value. Therefore, it usually entails large research and development expenditures because new manufacturing competences have

to be developed. It is riskier and more expensive than market penetration and market development strategies.

Developing new products for present markets, as pinpointed by Kotler (2002), can be achieved by relying on some of the following actions:

1. Developing new product features:

- a. Adapt the product features to other ideas, development and requirements.
- b. Modify the features e.g. change colour, motion, sound, odour, form and shape.
- c. Magnify the features to make the product stronger, longer, and thicker or possess extra value.
- d. Minify the product by making it smaller, shorter or lighter.
- e. Substitute e.g. other ingredients, process and power.
- f. Rearrange the product layout, sequence, and components.
- g. Combine e.g. blend, alloy, assortment, ensemble, combine units, purposes, appeals and ideas.

2. Introducing quality variations

3. Developing additional models and sizes (product proliferation).

Grand product development strategy is concerned with extending an existing product's life cycle. The five conditions, according to Kiley and Eldridge (2003), when product development may be an especially effective strategy to pursue are:

When an organization has successful products that are in the maturity stage of the product life cycle; the idea here is to attract satisfied customers to try new (improved) products as a result of their positive experience with the organization's present products or services.

When an organization competes in an industry that is characterized by rapid technological developments.

When major competitors offer better-quality products at comparable prices

When an organization competes in a high-growth industry.

When an organization has especially strong research and development capabilities.

Product Innovation Strategy

Product innovation involves the replacement of existing products with ones which are really new. Innovation, unlike product development that involves modification, implies a new product life cycle. Although, the line which differentiates a really new product from a modified product is extremely difficult to quantify, however, if the new product is addressing the beginning of its own life cycle, it is innovation but if it is addressing the life cycle of another product, it is product development. A strategy of innovation involves the creation of a new product life cycle thereby making similar existing products obsolete.

Thompson and Martin (2005) highlighted four ways through which an organization can access innovation:

- i. Ideas from employees of the Research and Development department. It may be argued that relying on their ideas is risky because these employees are not in direct touch with customers, but they have the technical expertise required for achieving product acceptance.
- ii. Ideas from people in various parts of the organization working on special projects.
- iii. Employees that are given freedom and encouragement to work on special projects.

- iv. Every day events as people interact and discuss problems and issues.
- v. Ideas from sales people who regularly with customers.

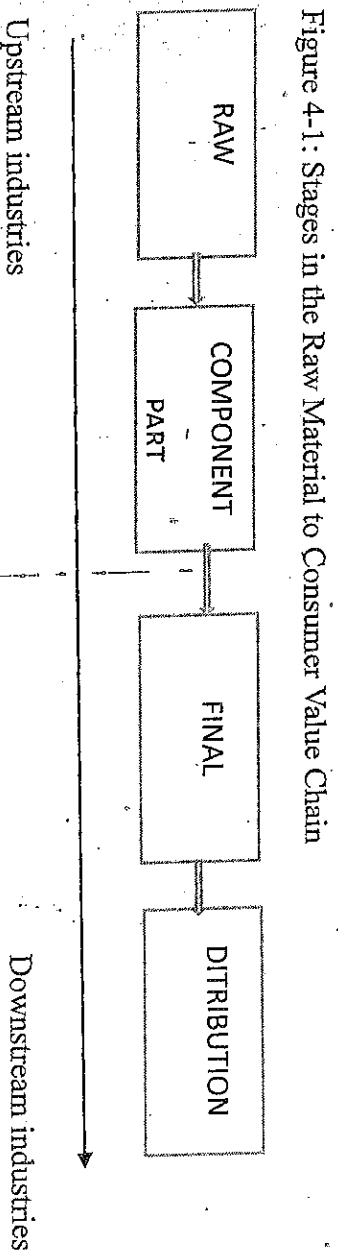
Many companies find it profitable to choose innovation as a strategic option for growth. This decision enables them to reap the initially high profits associated with customer acceptance of a new product instead of seeking profitability in the face of stiffening competition with similar existing products. Product innovation is a good move by companies that intend to stay ahead of rivals and in certain industries innovation is used as a barrier against competition. However, constant innovation is expensive and will require other products to provide the cash flow and other strategies such as market development and market penetration including some marketing strategies to succeed in the marketplace.

2 Integration Strategies

Integration involves expanding the company's range of activities backward into sources of supply and/or forward toward consumers and end users of the final product through the value chain, or in the stage of the value chain within the same industry. In the use of integration strategies, the enterprise widens the scope of its business definition in a way that it will result in serving the same set of customers. Integration basically means combining activities related to the present activity of a firm. Such relationship or combination may be done on the basis of the value chain, that is, downstream (towards ultimate consumers) and upstream (backward to raw materials). This form of integration is referred to as vertical integration. On the other hand, integration can be adopted at the same level of production or marketing process. In this case the company seeks ownership or control over competitors. This is called horizontal integration.

Vertical Integration

Vertical integration involves a company's efforts directed towards producing new products that serve its own needs and/or engages in new activity for the purpose of serving as a customer for outputs. Hence, we have backward integration and forward integration. Backward integration or linkages means retreating to the source of raw materials while forward integration or linkages move the company nearer to the ultimate consumer/users.



A vertical integration strategy involves expanding the domain of the organization into supply sources or to distributors. Vertical growth can be achieved by taking over a function previously provided by a supplier or by a distributor through acquisition of a company which supplies an organization with inputs of raw materials or components, or serves as a customer for the organization's products or services.

Forward Integration

Forward integration involves gaining ownership or increased control over all or some levels of marketing intermediaries such as distributors or retailers. Increasing numbers of manufacturers (suppliers) today are pursuing a forward integration strategy by establishing websites to sell products directly to consumers. Examples of enterprises pursuing forward integration strategy is a big sugar cane farmer that decided to establish a sugar processing company, a primary school owner that decided to start a secondary school or college, and a manufacturer of school sandals that chose to use direct channel for customers by establishing retail outlets in capital cities and major towns of the nation.

While some manufacturers are moving closer to customers through total or partial ownership of distributors/wholesalers and retailers, some suppliers or producer of raw materials and key components are investing in manufacturing facilities to secure the strategic advantages of forward integration. The strategic impetus for forward integration by manufacturers is to gain much greater control over their total marketing effort especially distribution thereby securing lower cost. Lower cost often gives rise to lower prices which can create advantage for the company.

The six conditions that may make the adoption of forward integration an especially effective strategy as identified by David (1985) are:

1. When an organization's present distributors are especially expensive, or unreliable, or incapable of meeting the firm's distribution needs.
2. When the availability of qualified distributors is so limited as to offer a competitive advantage to those firms that integrate forward.
3. When an organization competes in an industry that is growing and is expected to continue to grow markedly; this is a factor because forward integration reduces an organization's ability to diversify if its basic industry falters.
4. When an organization has both the capital and human resources needed to manage the new business of distributing its own products.
5. When the advantages of stable production are particularly high; this is a consideration because an organization can increase the predictability of the demand for its output through forward integration.
6. When present distributors or retailers have high profit margins, this situation suggests that company profitability could distribute its own products and price them more competitively by integrating forward.

Backward Integration

Backward integration is a strategy of seeking ownership or increased control of a firm's suppliers. Integrating backward can be adopted by both manufacturers and retailers since all of them purchase needed materials from suppliers. Backward integration can be for examples a fast food company that decided to establish its poultry farm to ensure regular and desired quality supply of chickens, a proprietor of a Secondary school that chose to start a primary school to ensure reliable quality of puppies coming into the college, or a flour milling company that decided to establish its own wheat farms.

Backward integration, according to David (1985) may be an especially effective strategy under the following conditions:

1. When an organization's present suppliers are especially expensive, or unreliable, or incapable of meeting the firm's needs for parts, components, assemblies, or raw materials.
2. When the number of suppliers is small and the number of competitors is large.

3. When an organization competes in an industry that is growing rapidly, this is a factor because integrative-type strategies (forward, backward, and horizontal) reduce an organization's ability to diversify in a declining industry.
4. When an organization has both capital and human resources to manage the new business of supplying its own raw materials.
5. When the advantages of stable prices are particularly important; this is a factor because an organization can stabilize the cost of its raw materials and the associated price of its product or products through backward integration.
6. When present suppliers have high profit margins, which suggests that the business of supplying products or services in the given industry is a worthwhile venture.
7. When an organization needs to acquire a needed resource quickly.

Horizontal Integration

Horizontal integration, unlike vertical integration, is when an organization takes up the same type of products at the same level of production or marketing process. Horizontal integration strategy can be followed through cooperation or organic development. When a company makes a conscious effort to spread out to other lines of business or businesses, which are related to the existing business at the same stage in the value chain, a company can seek ownership of or control over competitors by merging with or acquiring one or more similar firms operating at the same stage of the production - marketing chain. Horizontal integration is frequently adopted with a view to expand geographically because it eliminates competitors and provide the acquiring firm with access to new markets. In addition, horizontal merger or acquisition may be adopted to increase market share or to benefit from economies of scale.

Horizontal integration, according to David (1985) may be an appropriate strategy under the following conditions:

1. When an organization can gain monopolistic characteristics in a particular area or region without being challenged by the Federal government for -tending substantially to reduce competition.
2. When an organization competes in a growing industry.
3. When increased economies of scale provide major competitive advantages.
4. When an organization has both the capital and human talent needed to successfully manage an expanded organization.
5. When competitors are faltering due to a lack of managerial expertise or a need for particular resources that an organization possesses; note that horizontal integration would not be appropriate if competitors are doing poorly, because in that case overall industry sales are declining.

DIVERSIFICATION STRATEGIES

Diversification involves a substantial change in the business definition of a company in terms of customer functions, customer groups, or alternative technologies of one or more of a firm's business. Peters and Waterman's (1982) advise to companies is to-stick to th Knitting and not to stray too far from the company's areas of competence. Diversification strategies are strategic actions involving adding one or more new lines of business to the existing business. When the new line of business added is within the same industry, it is called related or concentric diversification, and when the new line of business added is from another industry, it is called unrelated or conglomerate diversification. However, diversification often makes the most sense when the company is competing in an industry that has become unattractive (e.g. a declining industry or an industry with a sharply increasing cost).

Objectives of Diversification

So many reasons have been given for departing from a company's present business. Other companies that refuse to diversify too, have reasons for their decision. Some objectives behind the choice of diversification include:

1. Enhancement of organizational growth
2. Increase in earnings or return on investment
3. Increase in value of stock of a firm to attract investors for expansion of capital base
4. To achieve cross-business synergies
5. Enhancement of stability in profits and sales especially in unrelated diversification that can handle fluctuations especially seasonal changes.
6. Increased speed in technology, resource, facilities, and manpower skills.
7. To gather and consolidate organizational strength through centralizing the business thus reducing its weaknesses.
8. To handle the problems of relying on a single product because no product lives forever; they all have life-cycles.
9. Increase organizational efficiency and speed.
10. To minimize risk by spreading it over several businesses.
11. To guard the company against unfavorable consequences from changes in environmental factors.

When to Diversify

The pursuit of concentration (intensification and integration) strategies is preferred by some companies. Companies as observed by Thompson et al (2004) that concentrate on a single business can achieve enviable success over many decades without relying on diversification to sustain their growth. This is because concentrating on a single line of business (totally or with a small dose of diversification) has important advantages: (1) a single-business company has less ambiguity about who it is, what it does, and where it is headed, (2) it can devote the full force of its resources to improving its competitiveness. Expanding into geographic markets it doesn't serve, and responding to changing market conditions and evolving customer preferences, and (3) the more successful a single-business enterprise is, the more able it is to parlay its accumulated know-how, competitive capabilities, and reputation into a sustainable position as a leading company in its industry.

However, relying on a single line of business is associated with one big risk—having all of the company's eggs in one industry basket. If the market is eroded by the appearance of new technologies, new products, or fast-shifting buyer preferences, or if it otherwise becomes competitively unattractive, the prospects of a company can quickly dim. Where there are high risks that the market of a single-business company may dry up or when opportunities to increase revenues and earnings in the company's mainstay business begin to peter out, managers, as suggested by Thompson et al (2004), usually have to put diversifying into other businesses on the front-burner for consideration.

Diminishing market opportunities and stagnating sales in a company's mainstay business make diversification a very strong option for consideration. Once the decision to diversify has been made, it is important for managers to consider the diversification path to follow.

Types of Diversification

Expansion through diversification can be achieved through two basic strategies-related and unrelated. Related diversification is also referred to as concentric diversification. Unrelated diversification can be in the form of horizontal or conglomerate diversification.

Related (Concentric) Diversification

Expansion through concentric diversification is when a company takes up an activity in such a way that it is related to the existing business definition of one or more of the company businesses. This relationship can be in terms of customer groups, customer functions or alternative technologies. Therefore, concentric diversification may be of three types: marketing-related technology-related, and marketing and technology-related concentric diversification. Examples of concentric diversification area yogurt manufacturing company that decides to add fruit juice producing business to its portfolio (food industry), an insurance company that decides to establish a pension administration or micro-financing to its existing business (finance), or a crop farmer entrepreneur that chose to add animal farming to its business (farming/primary).

When a company picks industries related to the organization's core business and what the company already does, a-strategic fit can be achieved. A strategic fit exists when different businesses have sufficiently related value chains that can enhance the achievement of some benefits. For example, it becomes easier for a company to transfer skills and expertise from one business to another or to combine related activities of separate businesses into a single operation, and to reduce costs.

The six conditions when concentric diversification may be an effective strategy as suggested by Muto (2001) are:

1. When an organization competes in a no-growth industry.
2. When adding new, but related, products would significantly enhance the sales of current products.
3. When new, but related, products could be offered at highly competitive prices.
4. When new, but related products have seasonal sales levels that counterbalance an organization's existing peaks and valleys.
5. When an organization's products are currently in the declining stage of the product's life cycle.
6. When an organization has a strong management team.

Unrelated (Horizontal) Diversification

Horizontal diversification refers to a strategy of adding new, unrelated products or services for present customers. Horizontal diversification strategy is notes risky as conglomerate diversification because the company is already familiar with its present customers. For example, hospitals that create miniature malls for banks, bookstores, coffee shops, restaurants, drugstores and other retail stores within their buildings for enhancing the satisfaction of patients and their visitors pursue horizontal diversification. David (1985) provided four guidelines that can make horizontal diversification an especially effective strategy:

1. When revenues derived from an organization's current products or services would increase significantly by adding the new, unrelated products.
2. When an organization competes in a highly competitive and/or a no-growth industry, as indicated by low industry profit margins and returns.
3. When an organization's present channels of distribution can be used to market the new products to current customers.
4. When the new products have countercyclical sales patterns compared to an organization's present products.

Unrelated (Conglomerate) Diversification

Conglomerate diversification occurs when a company takes up those activities which are unrelated to the existing business definition of one or more of its businesses, either in terms of their respective customer groups, customer functions or alternative technologies. Conglomerate organizations are companies that

have businesses from different industries in their portfolios. Examples of small business conglomerate are a Micro finance bank that decided to add real estate business and transportation to its core business, a hotelier that chose to invest in air transport, wholesaling of electronics, and real estate businesses, or a private school owner, that expanded its investment portfolio to include fast food chains, animal farming, and shoe making businesses.

In achieving maximum benefits from unrelated diversification several businesses are compared on the basis of their contributions to the overall profits and creation of surplus funds. The development of a conglomerate portfolio can be compared to stock portfolio when a person or an organization buys shares of various companies to fetch maximum return on investment. Therefore, the major objective of conglomerate diversification is achievement of maximum rate of return. There is usually no concern for creating any strategic fits or a synergy in any aspect of the value chain activities.

The six conditions when conglomerate diversification may be an especially effective strategy as identified by Muto (2001) are listed below:

- i. When an organization's basic industry is experiencing declining annual sales and profits.
- ii. When an organization has the capital and managerial talent needed to compete successfully in a new industry.
- iii. When an organization has the opportunity to purchase an unrelated business that is an attractive investment opportunity.
- iv. When there exists financial synergy between the acquired and acquiring firm (note that a key difference between concentric and conglomerate diversification is that the former should be based on some commonality in markets, products, or technology, whereas the later should be based more on profit considerations).
- v. When existing markets for an organization's present products are saturated.
- vi. When antitrust or any other related legal action could be charged against an organization that historically has concentrated on a single industry.

Combination (Related-Unrelated) Diversification Strategies

There is no reason preventing a company from diversifying into both related and unrelated businesses. Most companies are diversified and the business make-up of these diversified companies varies considerably. Some diversified companies are really dominant-business enterprises because in their portfolio, one major core business accounts for 50 to 80 percent of total revenues and a collection of small related or unrelated businesses accounts for the remainder. However, some diversified companies are narrowly diversified around a few (two to five) related or unrelated businesses while some diversified companies are broadly diversified and have a wide-range collection of either related businesses or unrelated businesses or a mixture of both. In addition, a few multi-business enterprises have diversified into unrelated areas but have a collection of related businesses within each area. Such collection gives them a business portfolio consisting of several unrelated groups of related businesses. Depending on individual company's risk preferences and strategic vision, there is ample room for companies to customize their diversification strategies to incorporate elements of both related and unrelated diversification.

Internationalization Strategies

Many companies in the pursuit of growth are involved in international business in one way or another. For such companies the adoption of international strategies cannot be ignored. International business is business whose activities involve the crossing of national borders. International business includes not only importation, exportation and foreign manufacturing but also service industry in such areas such as transportation, tourism, banking, advertising, construction, retailing, wholesaling, and mass communication.

Reasons for Going Abroad

Firms go abroad for several reasons. These reasons are linked to the desire to either increase profits or sales or protect them from being eroded by competition. Attractive opportunities in foreign countries have led many companies into international business. These opportunities, in the form of costs reduction, sales and profits maximization, and other sources of competitive advantages encourage firms to be involved in international business at varying degrees. The motives for going abroad can be either to seize opportunities or to deal with threats.

Opportunity Reasons

The opportunity reasons for going abroad include opening up new markets, obtaining greater profits, faster growth in new markets, obtaining new products for the domestic market, and globalization of financial markets.

Opening up New Markets

One major responsibility of business managers is sales and profits maximization. Therefore, managers are always under pressure to increase the sales and profits of their firms. Such pressure is higher when the home country market is matured and saturated. Managers are forced to search for new markets outside their home country. The search for new markets in other countries is especially urgent when a firm finds out that the saturation of home market can result in unpleasant consequences such as underutilization and pileups.

Obtain Greater Profits

Profits may be obtained by either increasing total revenue or decreasing the cost of goods sold, and most times a firm can do both. Higher profits can be obtained in foreign countries through (1) greater revenue from selling the product at higher prices, (2) lower costs of goods sold from economies of scale, cheaper labour and/or raw materials, energy and government incentives, and (3) improved communication that enhances easy and effective interaction between managers and employees in different locations thereby reducing travelling, and cost reduction in operational activities such as logistic, marketing, and administrative expenses.

Faster Growth in New Markets

Many domestic companies have a strong growth orientation. These companies mostly enter foreign markets because they can grow at a faster rate there than they can in the established domestic market. Such faster growth can enhance a company's chances of achieving expansion target and securing competitive advantages both at home and in foreign markets.

Obtaining New Products for the Domestic Market

Another basic strategic objective for going abroad by some organizations is to bring home a product that is required in their domestic market. Many individuals from the home market travel abroad and develop a desire for a product that they would like to have available in their home market. Therefore, most domestic companies internationalize their operations to obtain products for domestic consumers. The belief is that if they do not, their competitors will.

Threat Reasons

There are a number of threatening conditions that can trigger an indigenous business to expand to foreign markets. Some of these reasons are explained below.

Protection of Home Market

A firm can go to a foreign market to protect its domestic market when it faces competition from lower priced foreign products. Such a firm can move its production facilities to the countries from which the competing products are coming so that it can enjoy similar advantages, such as lower cost of labour, raw

materials, or energy. It may decide to manufacture some components abroad through the concept of twin-factories.

Protection of Foreign Markets

The adoption of most international markets entry strategies aside from exporting is majorly focused at the protection of foreign markets. Most firms that realized that importers of their products delay payments due to difficulties in obtaining foreign exchange from the government's Central Bank prefer to establish production facilities in such country. This is necessary because when such condition becomes endemic the firms export revenue may decline because of continued delay in payments, and most times importers due to such delay in obtaining or lack of foreign exchange, may look for alternative sources of the product or a close substitute.

Another reason, apart from lack of or delay in obtaining foreign exchange that can move a company from exporting to manufacturing in a foreign market is the establishment of a company for production of similar products in the foreign market by a competitor. For strategic purpose, even when a company's export business is growing and payments are prompt, a firm may be forced to quickly establish a manufacturing facility in a foreign country the moment a local production is started in such country. The decision to start production in such market is to avoid the risk of losing such market completely. Many governments, especially those in developing countries will not only prohibit importation of substitute products but may not permit more than two or three other companies to enter their countries so as to maintain a sufficient market for these local firms. The aim of such governments is basically to protect their indigenous industries so a firm must convert from exporting to foreign manufacturing before ban on importation and stoppage of production permit or license in the foreign nation.

Acquisition of Raw Materials

Another strategic aim for going abroad is to guarantee supply of raw materials. This is especially common with firms in developed countries where supplies' raw materials are not sufficient. To ensure a 'steady supply of raw materials, most manufacturers in the industrialized countries must invest in developing countries, where a lot of new mineral deposits are being found. Such deposits are then imported to the home country for transformation.

Acquisition of Managerial Know-How and Capital

There are other reasons firms go abroad. These include acquisition of technology and management know-how, to ensure geographical diversification and to take advantage of political stability in foreign countries.

STRATEGIES FOR GOING ABROAD

The strategies for going abroad include exporting, franchising, licensing, contract manufacturing, joint venture and strategic alliances, and wholly-owned subsidiary. These strategies are explained in turns in the subsections that follows.

a. Exporting

Exporting involves continuous effort in marketing a company's product to customers abroad. Exporting a company's product is usually the first step in reaching foreign markets. Success in exporting often encourages them to try other entry strategies. Many small businesses in Nigeria have started exporting agricultural products like ginger, cashew seeds, garlic, cocoa beans, cola unsterile to other countries. Foreign markets can be reached through any of the three major exporting alternatives:

Export-trading companies-An Export-Trading Company (ETC) buys products from domestic producers and resells them abroad.

Export-management companies-An Export-Management Company (EMC) provides the first-time exporter with expertise in locating foreign buyers, handling necessary paperwork, and ensuring that its goods meet local labelling and testing laws.

Offset agreement - An agreement that teams a small company with a major international company. The smaller firm essentially serves as a subcontractor on a large foreign project.

Advantages of Exporting

Exporting strategy has the following advantages amongst others;

1. It does not require the cost of establishing operations in the host countries.
2. It is a company's first exposure/experience to foreign markets, therefore, it can be used to test the risks and evaluate potentials of such markets.
3. It is flexible because the company can shift gears painlessly since export agreements can generally be terminated fairly quickly with minimum or zero financial implications.
4. The initial feedback from exporting-foreign customers can be used to modify the company's products thus enhancing expansion of overseas business.
5. The company maintains its quality control standards over production processes and finished goods inventory.
6. The company is able realise location and experience curve economies.

Disadvantages of Exporting

Some of the disadvantages of exporting are stated below:

1. It is sometimes associated with high costs of transportation, setting up a distribution system, advertising, and possible tariffs placed on incoming goods.
2. The exporter has less control over the marketing and distribution of its products in the host country.
3. The exporter must pay the distributor and/or allow the distributor to add to the price to recoup its costs and make a profit.
4. Communication can be difficult or expensive because of the distance from customers.
5. Exporting is associated with trade barriers, such as, exchange rate, differences in weight and measures, custom requirements, and so on.
6. The exporting company often encounters problems with local marketing agents.

FRANCHISING

A contractual arrangement where a wholesaler or retailer (the franchisee) agrees to meet the operating requirements of a manufacturer or other franchiser is called franchising. The franchisee receives the right to sell the products and use the franchiser's name, as well as a variety of marketing, management, and other services. Franchising is popular both domestically and internationally especially among fast-food companies.

Advantages of Franchising

Companies operating franchising strategy enjoy the following advantages:

1. Risk reduction by offering a time-proven concept to the franchisee and products that can be quickly brought to the market.
2. Costs reduction through standardized operations - economies of scale and zero development costs.

4. Provides greater international recognisability.

5. Reduction of scope of franchiser's managerial activities.

Disadvantages of Franchising

Some major disadvantages of franchising include:

1. Franchising success depends on its willingness to balance standard practices with local customer preferences.
2. Lack of quality control as some franchisees may not maintain the established product quality standards.
3. Franchising can make it difficult for the company to take profits out of one country to support competitive attacks in another country.

Foreign Licensing:

Foreign Licensing is a contractual agreement that allows a foreign firm to purchase the right to manufacture and sell the firm's products within a host country or a set of approved or agreed countries. The licensor is normally paid a royalty on each unit produced and sold. However, the licensee bears the risks and the costs of investments in facilities for manufacturing, marketing, and distributing the goods and services. Apart from exporting, licensing is possibly the least costly form of international expansion.

Advantages of Licensing

Some of the advantages of foreign licensing are:

1. Unlike exporting and franchising, licensing provides access to local partners marketing information and distribution channels.
2. Licensing provides protection from various legal barriers especially export barriers.
3. It is more attractive than some other entry strategies such as foreign direct investment because it does not require capital outlays from the franchiser.
4. It allows quick and easy entrance to a foreign market with a known product or concept.
5. Adaptability and acceptance of the concept is easy to achieve.
6. It is associated with low development costs and risks.

Disadvantages of Licensing

Licensing is associated with some of these disadvantages:

1. There is possibility of license-abuse by the company in any host country, which can have adverse effects on the international reputation of the company.
2. It does not give a company the tight control over manufacturing, marketing, and strategic functions in foreign countries that are necessary for the realization of experience.
3. There is risk associated with licensing technological know-how to foreign companies because a firm can quickly lose control over it.
4. Inability to realize location and experience curve economies.
5. Inability to engage in global strategic coordination.

6. The foreign partner (licensee) often gains the experience and evolves into a major competitor after the contract expires.

Joint Ventures and Strategic Alliances

When two or more companies from different countries join to undertake a major project is known as a joint venture. The benefits of international joint ventures include;

1. Shared technology;
2. Shared marketing and management expertise between partners,
3. Entry into markets where foreign companies are not allowed unless their goods are produced locally,
4. Risks and costs are shared especially when the development costs and risks of opening a foreign market are high,
5. Achievement of economies of scale in production and/or marketing thereby enhancing strategic advantage in the market place.

The major drawbacks of joint ventures are:

1. Difficulties in achieving effective co-ordination between independent companies, each with different motives and sometimes conflicting objectives.
2. Allies may have to overcome language and cultural barriers.
3. The costs of communication, trust-building, and co-ordination are high in terms of management.
4. Clashes of egos and company culture may arise which can have adverse effects on the hoped-for benefits.
5. Team-spirit may also be difficult to achieve if the key employees on whom the success or failure depends lack or have little personal chemistry.
6. One partner can go off on its own as a competitor after learning the other's technology and practices.
7. A shared technology may become obsolete.
8. The joint venture may become too large to be as flexible as needed.
9. Inability to engage in global strategic coordination.
10. Inability to realize location and experience economies.

A Strategic Alliances is a long-term partnership between two or more companies established to assist each company build competitive market advantages. The benefits of such alliance are provision of access to markets, capital, and technical expertise. Strategic alliances, by their nature, can be flexible, and they may be effective between companies of different sizes.

Guidelines for Achieving Maximum Benefits from Strategic Alliances

The benefits of strategic alliances are better maximized when companies adopt the strategy for combating competitive disadvantage rather than gaining competitive advantage. To gain the most from strategic alliance, companies must observe the following:

1. Select a compatible partner then ensure that you build strong communication bridges and trust and you may not expect immediate pay offs,

2. Be sure only an ally whose products and market strongholds complement rather than compete directly with the company's own products and customer base is chosen.
3. Learn a partner's technology and management practices fastly and thorough transfer relevant and valuable ideas and practices into one's own operations promptly.
4. Avoid dividing competitively sensitive information to a partner.
5. See the alliance as a temporary arrangement (5 to 10 years), but may continue longer if it is beneficial, otherwise do not hesitate to go it alone when the payoffs run out.

International Acquisition

Expanding free trade in global markets and increasing international economic cooperation have led to significant increase in cross-border acquisitions. Acquisition involves purchasing another company already operating in that area and it is associated with some benefits. Acquisitions can provide quick access to an international market. Cross-border acquisition may provide the fastest, and often the largest, initial international expansion than any of the alternatives. Acquisition can also offer an effective way to hurdle such entry barriers as acquiring technological-experience, establishing supplier relationships, becoming big enough to match rivals' efficiency and uni crossheading to spend large sums on introductory promotional efforts to gain market visibility and brand recognition, and securing adequate distribution.

Acquisition is associated with so many challenges. These challenges are related to finding the right kind of company to acquire, getting adequate information about acquisition candidates, legal constraints, and the various problems that can hinder acquisition success. It is sometimes difficult to find the right kind of company. An acquisition-minded organization usually faces the bid dilemma about whether to pay a premium price for a successful company or to buy a struggling company at a bargain price. It is often better to acquire a capable and a strongly positioned company, even when the organization has little knowledge of the industry, unless the price of such acquisition is prohibitive or not economically wise in relation to cost of entry. However, acquiring a struggling company can be the better long-term investment if the acquirer sees promising ways to transform such a weak company into a strong one and has the resources to do it.

Information about the acquisition candidates cannot be ignored because selection, price, and other important decisions rest on the available information. Where there is insufficient information about a potential candidate, organizations are usually skeptical about the wellbeing of such candidate. Legal constraints pose challenges to acquisition decisions too. In some countries, government restriction on ownership limits foreign ownership. Organizations do not have any other option than to choose any other appropriate joint ownership or partnerships entry strategy, or to rely on exporting.

Wholly Owned Subsidiary

The establishment of a new, wholly owned subsidiary is also called a Greenfield venture. A company owned in a foreign country by another company called the parent company is expected to operate like a domestic firm with its functional activities under the control of the foreign subsidiary management. However, the legal requirements of both the home and host countries would have to be observed. This is often complex and a potentially costly process, for example, to obtain a GSM license in Ghana, Glo Balcom paid \$50.1million in June 2008. Other costs of entry would include cost of infrastructures, training, building marketing channels and other permits by state governments. The fact that the company maintains complete control over any technology or expertise it may possess is one major advantage. Therefore, if the investment is successful, it has a potential to provide above-average returns. Apart from the huge financial costs involved in acquiring property, building new manufacturing facilities, establishing distribution networks, and learning and implementing appropriate marketing strategies to compete in the new market, this alternative is time consuming.

Advantages of the Wholly Owned Subsidiary

1. The company has complete control over its manufacturing and marketing activities.
2. It is easy to customize a company's product to meet the requirements of the customers or markets in the host country.
3. Profits need not be shared with anyone outside the company.
4. The company can enjoy location advantages in the form of access to lower cost of labour, energy, and other natural resources.
5. Inter-organizational conflicts that can be associated with international partnership are eliminated.
6. Internal co-ordination can be effectively achieved unlike exporting, strategic alliance, and to some extent licensing that requires increased management efforts due to expansion in the functional scope.
7. Barriers such as distance, language, cultural and other export/import drawbacks are greatly minimized or totally eliminated.
8. The company is able to protect trade secrets and technology.
9. Ability to engage in global strategic coordination.

Disadvantages of the Wholly Owned Subsidiary

The following disadvantages are however, associated with establishing foreign subsidiaries abroad:

1. It requires very huge capital outlay for manufacturing facilities and other requirements.
2. It is associated with high risks such as expropriation- taking over a firm's assets by the foreign government if relations with host country falter.
3. The establishment of a new, wholly owned subsidiary in a host country can be a lengthy process and more time consuming than the other modes of entering foreign markets.
4. It can only achieve little strategic co-ordination across country boundaries.
5. It is not tied tightly to competitive advantage because its primary orientation is responsiveness to local country.
6. The breeding-of-bad will because profits are not shared with local people is another terrible disadvantage.

RECOVERY STRATEGIES

The strategies that can be relied upon to protect an organization in crisis through reconstruction are referred to in this book as consolidation and recovery strategies. These strategies are basically concerned with securing the prosperity and preserving the success of a crisis-ridden organization, or exiting the business quickly but wisely. Consolidation and recovery strategies are concerned with blocking the channels of financial linkages (unnecessary expenditures) and/or calling back funds from investments that are considered weak or wasteful. The funds that are recovered from sale of assets or businesses are reinvested to develop or enhance competitive advantage and support those remaining areas of the business that are considered essential. This is the reason why Thompson (2004) coins an umbrella term 'disinvestment' which encompasses all aspects of consolidating and recovering businesses that are worth saving. Consolidation and recovery strategies are surgical moves to solve fundamental problems confronting an organization. This involves an attempt to find out the problem areas and diagnose the causes of the problems so that appropriate steps can be taken to solve the problems.

These steps result in different kinds of strategies (recovery or exit) depending on the situations.

The strategies for recovering or exiting a bad business that are comprehensively considered in retrenchment/turnaround, captive company, divestment, liquidation, and bankruptcy.

1. Retrenchment and Turnaround Strategies

Corporate retrenchment strategy involves reducing the scope of a business to improve efficiency while turnaround strategy is concerned with the improvement of operational efficiency. Retrenchment and turnaround strategies are remedial actions taken when a company experiences declining profits as a result of economic recession, production inefficiency or competitor innovation. The aim of retrenchment is to ensure a company concentrates its efforts on a few core businesses by reducing the scale of operations to a position where the company has a solid consolidated and competitive base. However, turnaround strategy focuses on the consolidation of the pruned organization.

Retrenchment and turnaround involve regrouping an organization through cost, expenses and asset reduction to reverse declining sales and profits. Retrenchment and turnaround, because they constitute interwoven phases of the curative process of a sick company, are often used interchangeably. A sick company would not be able to turnaround successfully, that is, improves its operational efficiency except it sheds its unwanted weight. The two phases of a turnaround, therefore, can be likened to contraction and consolidation. Contraction is the initial effort to quickly-stop the bleeding with a general, across-the-board cut back in size and costs. Consolidation involves the implementation of a programme to stabilize the now-learner corporation. Such programme is aimed at streamlining the company through effective plans to reduce unnecessary overload and to make functional activities cost-justified.

Retrenchment is concerned with pruning the operations of a company of its diversified activities so that it can focus on its core business area. However, reducing the scope, assets or costs of a sick company is not enough to ensure its survival and recovery.

Resources that are freed up must be properly reallocated from one strategic thrust to another. This is the concern of turnaround - reversing a negative trend. Turnaround strategies involve the adoption of a new strategic position for a product or service, and typically lead on from retrenchment. The key issue in retrenchment concerns how much reduction is needed, whether it is minor or drastic, and how quickly the company must act. Downsizing move must be carefully carried out because it is all too easy to cut back and slim down an organization to a size where it does not have the solid base required for subsequent expansion. Such company has been downsized but not-right sized.

Managers, in ensuring effective Turn around, must be cautious in the following areas:

Cutting in the right areas and not destroying important competences

Cutting back to a carefully determined core, and then

Creating new competitive advantages to build upon this core and generate new growth.

The differences between retrenchment and turnaround strategies relate to time horizon and effects on customers. Retrenchment strategies are usually developed and implemented within a short-time period since they are mostly designed to yield immediate results. However, Turn around strategies is likely to address those areas which must be developed if there is to be a sustained recovery. Turnaround strategies are designed to bring quick results and at the same time contribute towards longer-term growth through changes in the overall marketing efforts such as repositioning existing products and development of new ones. Retrenchment strategies, because they relate basically to the internal functioning of organizations, do not affect customers directly, but turnaround strategies are designed to improve the effectiveness of the organization's marketing. As a result, they are addressing customers' needs and consumers directly. Therefore, some degree of caution is required in implementing turnaround actions.

Retrenchment and turnaround strategies are needed when a business worth rescuing goes into crisis; the objective is to arrest and reverse the resources of competitive and financial weakness as quickly as possible. In order to formulate a suitable turnaround strategy, the first task of management is to diagnose what lies at the root of poor performance.

Retrenchment/Turnaround Actions

There are no standard models of how a company should respond to a decline. Several steps and actions can be taken because every situation is unique. However, in most successful turnaround situations, a number of common features are present. They include crisis stabilization, changing the leadership and top management, redefining strategic focus, building credibility, neutralizing external pressures, and combination efforts.

Crisis Stabilization

The aim at this point is to regain control, using the existing management, over the deteriorating position. This requires a short-term focus on cost reduction and/or revenue increase.

Cutting Costs: Cost-reducing turnaround strategies can be achieved through reduction of workforce (such as layoffs), pruning of marginal products from the product line, investments in labor-saving equipment, accelerated financial controls, and other belt-tightening measures. In addition to these measures, a troubled company can increase its emphasis on paring administrative overheads, elimination of nonessential and low-value-added activities in the company's value chain, modernization of existing plant and equipment to attain greater productivity, delay of nonessential capital expenditures, and debt restructuring to reduce interest costs and stretch out payments.

Cost-reducing turnaround strategies work best under the following conditions:

When the ailing business's value chain and cost structure are flexible enough to permit radical surgery.

When inefficiencies in operation are identifiable and correctable.

When the company's costs are clearly bloated and points where savings can be quickly achieved exists.

When the company is relatively close to its break-even point.

Boosting Revenues: The aim of revenue-increasing turnaround efforts is generating increased sales volume. The basic options for building revenue are price cuts, increased promotion, a larger and better sales force, added customer services, and quickly achieved product improvements.

Acceleration of revenues and sales volumes are necessary if any or some of the following conditions exists:

When there is little or no room in the operating budget to cut expenses and still break even.

When the key to restoring profitability is increased utilization of existing capacity. However, when buyer demand is not price sensitive because of differentiating features, the quickest way to boost short-term revenues may be to raise prices; rather than relying on volume-building price-cuts.

Selling Off Assets: An organization in crisis can also sell all unwanted assets as long as: it can find buyers for such assets. The purpose of such sales is to raise cash to save the remaining (or recoverable) part of the business. Asset-reduction moves are essential when cash flow is a critical consideration and when the most practical ways to generate cash are (1) through sale of some of the firm's assets (plant and equipment, land, patents, inventories, or profitable subsidiaries), (2) closing or selling older plants, (3) withdrawing from outlaying markets: and, (4) cutting back customers' services. It is important to distinguish unwanted assets from unprofitable assets. Assets that no longer fit in with the redefined strategic focus of the company may

be very profitable because their sale can bring the company much needed cash. Crisis-ridden companies often sell off assets not only to unload losing operations and to stem cash drains but mostly to raise funds to save and strengthen the remaining business activities. This usually involves the sale of non-core business assets to support strategy renewal in the firm's core businesses.

However, turnaround actions are more than cost-cutting and/or revenue-boosting exercises most of the times especially when crises emanated from external environment. In such cases, cost reduction and revenue boosting actions are not sufficient for the achievement of renewed growth. Other turnaround actions are therefore important.

Changing the Leadership and Top Management

New leadership or new management is an essential element of most retrenchment and turnaround situations. This is because the old leadership and top management bear the stigma of failure. The Chief Executive Officer (CEO) or the Managing Director, and sometimes the General Manager (as the case may be in small businesses) is the organizational leader and builder, a mentor, the chief architect of organizational purpose. Therefore, his or her role in strategic management is the most important among the roles played by different strategists. The top management consists of managers at the highest level of the managerial hierarchy. They perform a variety of roles by assisting the board and the CEO in the formulation, implementation, and evaluation of strategy. To resolve a crisis, the new leader and senior managers must be able to make difficult decisions, motivate lower-level managers, listen to the views of others, and delegate power when appropriate.

Redefining Strategic Focus

When weak performance is caused by bad strategy, the task of strategy overhaul, revising or changing the strategy, can be adopted along any of several paths: (1) shifting to a new competitive approach to reclaim the firm's market position, (2) overhauling internal operations and functional area strategies to better support the same overall business strategy; (3) merging with or acquiring another company in the industry and forging a new strategy keyed to the newly consolidated company's strengths; and (4) retrenching into a reduced core of products and customers more closely matched to the company's strengths.

Redefining a company's strategy can take place at both business and corporate levels. For examples, a failed cost leader may reorient toward a more focused or differentiated strategy and a diversified company can identify the business in the portfolio that have the best long-term profit and growth prospects and concentrates investment there. The most appropriate strategy-revision path depends on the prevailing industry conditions, the company's particular strengths and weaknesses, its competitive capabilities in relation to

rival companies, and the severity of the crisis. For a prudent selection of the most appealing path, the company must conduct a situation analysis of its industry, major competitors, its own competitive position and its skills including resources.

Building Credibility

The cooperation of primary stakeholders: customers, employees, suppliers, shareholders, and creditors are very vital in ensuring the survival of a sick company and to achieve recovery speedily. In crisis period, the confidence and support of these stakeholders and other stakeholders such as governments must be secured. Credibility-building efforts require that the company avoid any mistake in its choice of surgical or non-surgical path. The surgical approach to turnaround involves a tough attitude at all levels of the organization. The new leadership introduces some fundamental changes, centralizes functions, fires employees, and closes down plants and divisions. However, the non-surgical (humane) approach involves understanding the problems, eliciting opinions, adopting a conciliatory attitude, and arriving at negotiated settlements among different factions. The emphasis of non-surgical approach to turnaround is on behavioral change

for improving work culture and morale. Non-surgical approach has a greater potential to succeed in the long run and because of its involvement of all major stakeholders in resolving the crisis, it can enhance greatly the credibility building of the company.

In addition, building corporate credibility is often achieved through the advisory support of a specialist external consultant for the existing chief executive and his team, or temporary withdrawal of the existing team to allow an executive consultant or a turnaround specialist hired do the job, or absolute replacement of the existing team, especially the chief executive, or merging the sick organization with a healthy and credible one.

Neutralizing External Pressures

During turnaround, strategists work with limited resources and face pressure from shareholders, employees, and the media. Shareholders want quick restoration of the business or any action that can guarantee their claims. Employees on their part press for job security through the union, and the media probe into the problems of the company and the remedial actions being taken by the organization. The management currently in charge of the company's affairs must seek for shareholders' understanding and cooperation through consultation. Employees needed to be orientated to accommodate the temporary hardship because it is better for a few workers to be laid off than for all to be fired due to a worst situation. In order to avoid public knowledge or wrong publication of the problem, the media should be properly managed.

The five conditions that may make retrenchment/turnaround an appropriate strategic option, according to David (1985), are:

1. When an organisations has a clearly distinctive competence but has failed to meet its objectives and goals consistently over time.
2. When an organization is one of the weaker competitors in a given industry.
3. When an organization is plagued by inefficiency, low profitability, poor-employee morale, and pressure from stockholders to improve performance.
3. When an organization has failed to capitalize on external opportunities, minimize external threats, take advantage of internal strengths, and overcome internal weaknesses over time; that is, when the organization's strategic managers have failed (and possibly will be replaced by more competent individuals).
4. When an organization has grown so large so quickly that major internal re-organization is needed.

1. CAPTIVE COMPANY STRATEGY

A captive company strategy involves giving up independence in exchange for security. A full-blown turnaround may not be appropriate for a company with a weak competitive position. The reason may be that the industry is not sufficiently attractive to justify such an effort from either the current management or investors. A company in a weak competitive position needs some serious action because it experiences poor sales and increasing losses. The management of such company searches for an 'angel' by offering to be a captive company to one of its major customers in order to ensure the company's survival mostly with a long-term contract. By doing this, the company may be able to reduce costs through reduction in the scope of its functional activities especially marketing. In essence, the weaker company gains certainly in sales and production in exchange for becoming heavily dependent on another firm for at least 75% of its sale.

2. DIVESTMENT STRATEGIES

Divestment (also called divestiture, sell-out, or cutback) strategies involve the sale or liquidation of a portion of a company or a major division, profit center or strategic business unit (SBU). Divestment is mostly preferred when retrenchment or turnaround have been attempted but have proved to be unsuccessful.

In some situations, the option of a turnaround may even be ignored if it is obvious that divestment is the only answer. As a part of a rehabilitating or restructuring plan, divestment can be proactive, that is, the company is not under real pressure necessarily to do so. It can also be more essential and reactive where retrenchment failed to solve the business's problems.

When a particular line of business loses its profitability (terminally), the most attractive solution usually is to sell it. It is wise to divest poor performers—dogs and—mist in a diversified firm's portfolio quickly to avoid further loss. If a company with a weak status in an industry is unable to raise itself up by its bootstraps or to find a customer to which it can become a captive company, it may have no option but to sell out. The sell-out strategy is appropriate if management can still obtain a good price for its shareholders and the employees can keep their jobs by selling the entire business to another firm. The rationale is that another company will have the necessary resources and determination to return the company's profitability.

The idea behind divestment is to sell the business unit to the highest bidder. Three types of buyers are possible: independent investors, other companies, and the management of the unit to be divested. Selling off a unit to its management is normally referred to as management buyout (MBO). Existing managers often feel that they could manage their business more profitably if they were freed from any constraints imposed by the parent organization and were completely free to try out their ideas of changes.

3. Reasons for Divestment

A divestment strategy may be adopted due to various reasons:

1. When a company needs to raise money quickly because a better investment alternative has been identified, it may divest a unit that is not yielding enough or any profits.
2. When a business that had been acquired proves to be a mismatch and cannot be integrated within the company or has a poor strategic fit with the rest of the portfolio.
3. Persistent negative cash flows from a particular business create financial problems for the whole company, creating the need for divestment of that business.
4. When selling of a particular business unit will enhance the survival chance of a company, such unit can be divested instead of holding back the whole organization (when the unit is responsible for an organization's overall poor performance).
5. When competition becomes so severe that it became very difficult for a company to cope, it may choose to divest some of its units instead of complete liquidation.
6. When a divestment move is part of a merger plan executed with another firm in an exchange of a mutual strategic interest.
7. When technological upgrading is required if the business is to survive and there is no other economical source of finance, the best option is to divest a part of a business.
8. When retrenchment strategy was unable to accomplish needed improvement.

4 Liquidation Strategies

Liquidation involves the sale of a complete business, either as a single going concern or piecemeal to different buyers, or sometimes auctioning the assets. It is the most unpleasant and painful step, especially for a single business enterprise where it means the organization ceases to exist. For a multi-business or a multi-industry company to liquidate one of its lines of business is less traumatic. Liquidation is generally considered as an unpopular choice because it is associated with serious consequences. These consequences include loss of employment for workers and other employees, plant closings, destruction of reputations and ruin of management careers.

Liquidation, unlike bankruptcy which seeks to perpetuate a company, is the termination of a firm. When the industry is unattractive and the company is too weak to be sold as a going concern, management may prefer to convert as many saleable assets as possible to cash, which is then distributed to the shareholders after all obligations are paid. Liquidation is a prudent strategy for distressed company that have few escape routes, all of which are problematic. The advantage of liquidation over bankruptcy is that the board of directors who represent the shareholders together with the top management make the decision instead of turning them over to the bankruptcy court, which may choose to ignore shareholders completely.

The decision to liquidate a complete business may well be in the best long-term interests of the stakeholders as a whole. This is because it saves a company from inevitable bankruptcy. The negative effects of liquidation become more severe when actions are delayed by the company's management due to unguarded emotions and foolish pride. Most managers of failing companies delay liquidation by trying to save a company in hopeless situation through turnaround strategies. However, managers of failing businesses should always try to differentiate between when a turnaround is achievable and when it is not.

Liquidation can be planned or forced on the company. Although, liquidation is unattractive to all stakeholders as a strategic alternative but when a business is better off dead than to remain alive, it is a good proposition. On the other hand, instances where a successful entrepreneur whose business has grown to a size where he or she has obtained all the benefits that they sought, liquidation may be the only option if he or she does not have a natural successor. The two situations described here make liquidation inevitable therefore, an abandonment plan is desirable. Planned liquidation would involve a systematic plan to reap the maximum benefits for the shareholders and others before such benefits are lost to bankruptcy.

5 Bankruptcy Strategy

Instead of giving up to liquidation, the top management of some companies in word possible situations and poor competitive positions, prefer to pursue a bankruptcy stretch. Bankruptcy involves surrendering the management of the company to the courts in return for some settlement of the company obligations. Such financial desperate companies file for a liquidation bankruptcy or a reorganization bankruptcy. Liquidation bankruptcy involves a company agreement to a complete distribution of their assets to creditors, most of whom receive a small fraction of the amount they are owed. Liquidation is what the layperson views as bankruptcy: the business cannot pay its debts, so it must close its doors. Investors lose their money, employees lose their jobs, and managers lose their credibility. In owner-managed firms, company and personal bankruptcy commonly go hand in hand. Reorganization bankruptcy involves the refusal of a company to surrender until one final option is exhausted to recapture its viability. The company attempts to persuade its creditors to temporarily freeze their claims while it undertakes to reorganize and rebuild the company's operations more profitably. The appeal of a reorganization bankruptcy is based on the company's ability to convince creditors that it can succeed in the market place by adopting a new strategic plan and that when the plan produces profits, the company will be able to repay its creditors, probably in full. reorganization bankruptcy relies on the selection of one or some consolidation or recovery strategies even when such option is less desirable. This requires careful consideration of the causes of the company's decline and the severity of the problem it now faces. Many top managers unfortunately are not willing to admit that their organization has serious weaknesses or problems for fear that they may be personally blamed. It is worse when top management do not even perceive that crises are developing. To avoid blames or acceptance of failure, when these top managers eventually notice trouble, they are prone to attribute the problems to temporary environmental disturbances and as noted by Wheelen and Hunger (2008), they tend to follow profit strategies. The reason is that when things are going terribly wrong, top management is greatly tempted to avoid liquidation in the hope for a miracle. Such position, as suggested by Kanter (2003), pushes top management into a cycle of decline, in which it goes through a process of secrecy and denial, followed by blame and scam, avoidance and turf protection, ending with passivity and helplessness.

UNDERSTANDING BUSINESS RISKS

Introduction

All worthwhile activities are associated with risks. This is the case with businesses because a lot of resources are usually devoted to managing risks and crimes so that unfriendly impacts from these unexpected events can be avoided or minimized. Risks, when not managed through appropriate strategies and crimes when not handled properly can stifle the life of a small business or cripple it. This chapter first explains the raptures of risks, types of risks, and the various ways or strategies for managing risks. Other discussions include how best to prevent general crimes, and specific and common crimes such as armed robbery, theft and white-collar crimes that affect the success of small businesses. The last part of the chapter covers the legal aspects of small business: those basic laws that the small business entrepreneur needs to have knowledge about and obey.

The Nature of Risks

The term risk means the chance of loss, the degree of probability of loss, and the amount of possible loss. All decisions are associated with risk or put it in another way; decisions and risk are irrevocably linked. The key elements in risk are the potential upside and downside from future events and the likelihood of certain things happening (or not happening). Forecasting and other means of predicting the future are absolutely reliable but they are still important because managers exercise judgment in the decisions that they take. Futures are uncertain. The dynamism and variation of business environments create opportunities, threats or unexpected internal problems. Opportunities and strategies that involve new customers, new markets, new countries and/or new competences, as suggested by Thompson and Martin (2005), all imply risk-an element or chance that something can go wrong. The greater the potential impact (the downside) of what could go wrong, the greater the risk. Avoidance of an environmental threat in a dynamic environment can also be risky. In the same way, when an organization moves away from what it knows it increases its risk because there are more unknown factors.

However, risk varies in degree from one environment or industry to the other. Acceptance and the effectiveness of risk management vary from one organization to another due to a number of reasons such as personality, skills, knowledge and understanding of their managers. Therefore, it is important that there is compatibility between the small business owner's attitude towards risk and the demands of the industry. A risk-averse small business manager in a high-risk industry may miss valuable opportunities. Generally, risk taking by managers is usually influenced by environmental and organizational factors like the availability and cost of finance, forecasts of market opportunities and market buoyancy, feelings about the strengths and suitability of internal resources, the organization's overall culture and styles of leadership, and its reward systems. Risk is an inevitable aspect of business decisions. Therefore, risk management is an important issue in the operation of small business.

The term 'risk management' is often associated with the idea of insurance and, indeed insurance is relevant in the discussion of risk management but its scope is much wider than insurance. Organizations will often choose investment opportunities, projects and strategies that seek to manage or minimize risk. The two tasks involved in risk management are; (1) clarifying the risks involved, and (2) deciding what to do about the various risks; selecting from the several risk management strategies.

Classifications of Risks

Companies usually face different types of risks. These risks can be classified into strategic risk and other business risk. Strategic risks are based on factors such as the company's industry, competitive position, and sources of revenue and profit, and brand strengths. Other business risks relate to the threats that

Once the risk elements have been clarified, the next step is to choose an appropriate alternative for managing such risks. These strategies include avoiding, retaining, transferring, and regulating of risks. Each are discussed in turn.

1 Avoiding Risk

Many risks cannot be avoided because there is always the chance of natural disaster, change in consumer taste and preferences, change in home government policy or even host country government, shift in competition, or some forms of technological advancement such as introduction of new technology. However, some risks can be avoided. Therefore, some organizations are avoiding risk in various ways. Any investment alternative that is associated with too much risk is usually avoided by many small business owners. For example, such organizations may prefer outsourcing to in-sourcing or internal production in order to avoid higher risks that are associated with making the required products or providing the needed service.

2 Retaining Risk

Some risks cannot be avoided, they have to be taken or an opportunity and the reward/profit associated with it would have to be abandoned. Organizations that face such risks especially uninsurable risks do not have any other option than to embrace them and prepare for possible eventualities. Some organizations especially small business organizations cannot afford conventional property/casualty policies. All organizations both small and large often face risk that no insurance company will cover. Such uninsurable risks like market risks (e.g. losses that occur because of price changes, style changes, or new products that make an organization's product obsolete), political risks (e.g. Losses from war or government restrictions on trade), and some risks of operations (e.g. Strikes or inefficient machinery) are usually borne by the organization through self-insurance. Some organizations set aside money to cover such risks especially routine claims. Other organizations take the hard way to manage such unavoidable risk by 'going bare', paying claims straight out of its budget. However, a whole organization could go bankrupt over one claim, if the damages are high enough. A less risky alternative is to form risk retention group-insurance pools that share similar risks.

3 Transferring Risk

Organizations can transfer the risk they face by switching it to someone else. This can be achieved either by divesting a business, diluting it through a joint venture, or insuring against it. Divesting internally by closing a plant as part of rationalization programme, or externally through the sale of part of the business is to save or generate resources that should be reallocated to less risky and more profitable businesses. Dilution of business ownership through partnership' or joint venture can be for the purpose of developing a new product or a new business, establishing specific agreements between manufacturers and their suppliers, and forming international trading partners. Most partnership business or joint ventures are entered into by organizations for the purpose of partial or absolute transfer of risk. Partial transfer of risk is also known as risk sharing. Insuring against risks involves buying the appropriate policy from insurance companies to cover risk. Insurance is the among individual and organizations use to protect themselves from various financial risks. Insurance companies cover various categories of insurable risk and in case of loss; the insured person or organization would be indemnified or compensated as the case may be. This is because one cannot gain from risk management, the insured cannot collect more than the actual loss, and can only minimize losses.

4 Regulating Risk

Organizations can equally manage business risks through risk regulation. A risk is regulated when an organization invests resources to prevent or reduce it. An organization can minimize risk by establishing loss-prevention programmes such as fire drills, health education, safety inspections, equipment maintenance, and accident prevention, among others. For example, many retail stores use mirrors, video

cameras, and other devices to prevent shoplifting. To minimize fire loss, organizations use water sprinklers and smoke detectors while various safety devices are installed in industrial machines to protect workers' fingers, eyes and other parts.

Managers and employees are also relied upon in the area of risk reduction. Organizations through education, training and policy statement can encourage their members to reduce risk. For example, drivers can be encouraged to wear seat belts to minimize injuries from accidents, operators of loud machinery can wear earplugs to reduce the chance of hearing loss, and those employees who lift heavy objects can wear back braces.

CRIME PREVENTION

In as much as it is important for small business owners to manage risks, it is also very necessary to prevent the business against crimes. All business owners must cultivate the practice of crime prevention to reduce risks and protect their assets and employees because criminal acts usually lead to consequences such as loss of assets through theft or destruction, loss of money that can put the business on its knees, and loss of lives. As a small business owner, you need to prevent your business from both major crimes, such as armed robbery, theft, and white-collar crimes; but also, crimes that are not so common, such as trespassing, vandalism, workplace violence, and harassment. The risks and losses associated with crimes can only be minimized because it is not possible to get a security program that will prevent all criminal acts. The occurrence and severity of criminal acts can be minimized but criminal acts cannot be eradicated. For example, workplace violence cannot be eliminated but the small business owner can reduce it by working at-keeping the peace. It is vital for the small business owner to be alert at all times and ensure that his/her employees are aware of potential dangers. Such orientation helps in the minimization of risks involved and reduces losses from crime. The recommendations proffered by Steven and Jane (2000) for reducing crimes in the workplace are:

1. Adopt a zero-tolerance policy.
2. Screen carefully.3. Train supervisors on how recognize personality changes and warning signs.
4. Defuse disputes
5. Check and double-check security.
6. Terminate with care; then change the locks.

In our society, crime rate has increased due to increased level of poverty and unemployment. Crime prevention is a function for both business owners and their employees, and it relates to choosing a location for the business, building the physical infrastructures, hiring workers, and selecting customers and suppliers. Some locations are more vulnerable than others. For example, armed robbery occurs more frequently in some neighborhood than others while incidences of theft may be more in some neighborhood than others. Generally, criminal activities that affect business prosperity are higher in areas of high unemployment and high incidences of illiteracy. In the same way, low-rent neighborhoods are more vulnerable than high-rent areas; because low-rent areas are associated with high criminality. Criminal acts can have unfriendly consequences on the prosperity and survival of small businesses. Let us look at the three commonest crimes that affect small businesses: armed robbery, theft and white-collar crimes.

MANAGING ENTREPRENEURIAL TIME AND STRESS

Introduction

There is always pressure on the time of the entrepreneur because of the entrepreneurial activities, family and domestic demands, and other roles the entrepreneur plays in the society such as those in religious organizations, clubs, and other associations he or she belongs. It is therefore important for all entrepreneurs to develop strategies and techniques that they can use to manage their time and get the best from the use of

time. Time is our most valuable resource and a universal leveler because the powerful and rich have no more of it than do lowly and poor, and no one can control or accumulate time. It is a common to see entrepreneurs, their managers and other employees take files, documents and other work materials to their homes for completion of some jobs that were not completed during office hours because of limited time.

Time management and stress are highly related because inability to manage time, especially in the work place and in the face of increased work load, plunge people into stress. Although our attitudes to time are constantly changing due to the advent of new technology, increased awareness and education, but all these factors have also increased the pressure on our time. We will discuss the characteristics of time.

Characteristics of Time

One important Time has to be used as it occurs because of its unique characteristics that are listed below.

- x Universal demand: It is needed by everybody

- x No shelf-life: One cannot put it away and use it when one needs it.

- X Permanent Size: Time cannot be increased

- X Not transferable: It cannot be transferred from one person or place to another

- x Very personal: It is personal to each person

Strategies for Time Management

Analyzing Use of Time: Few of us will readily admit that large parts of our working day are wasted. The only way for you to make better use of your time is to analyze how you use it now, and then to consider ways in which you can reallocate it in a more effective way. There are always competing demands on your time. It is very easy to spend too much time on routine things, such as reading mail, at the expense of high-priority, productive tasks. How do you divide up your day at the moment? Do you prioritize your work so that you tackle important and urgent projects first? Or do you concentrate on completing enjoyable tasks first? Are you distracted by phone calls, or do you have a system for dealing with them? Do you waste a lot of time?

Costing Your Time: It is a sobering exercise to calculate exactly how much you time costs and then realize how much of it is not being spent effectively. Use the calculation on the right to work out how much your time at work costs per hour and per minute, and then use these figures to analyze the relative cost of a few activities typical of your day, such as arranging a meeting yourself rather than asking your assistant to undertake that task. Always consider whether you should delegate tasks to others; it is generally more cost-effective to give routine tasks to more junior staff rather than doing them yourself, since your cost to the company will be higher.

Keeping a Time Log

Maintaining a daily log of how much time you spend on particular activities is fundamental to managing your time more effectively. You may be surprised at how much time you spend chatting, and how little time you spend working and planning. Your time log provides you with a starting point from which you can assess areas to improve. How long you should keep a time log for is dependent on the nature of your work. If you work on a monthly cycle, keep the log for a couple of months. If your work cycle is weekly, a two- or three-week log should suffice.

Timing Tasks

Compile a simple time log by dividing your day into 30-minute chunks and recording exactly how you spend your time. This will help you determine how much time you spend on useful and unnecessary tasks.

Breaking down Tasks

Look at the categories into which you have allocated your tasks, and divide them into groups: routine tasks (for example, writing a regular report), ongoing projects (for example, organizing a meeting), and tasks that would further develop your job (for example, making new contacts). Work out the percentage of time spent on each group.

Estimating Efficiency

How close is your work pattern to the ideal 60:25:15-time distribution ratio shown on the facing page? If you find you are spending too much time on one group of tasks to the detriment of others, work out how you can reorganize your daily schedule so that your time is distributed more efficiently. For example, if you find you are spending time on tasks that could easily be done by a junior, delegate them. This way you can concentrate your energies on the areas in which you are not spending enough time.

Plan and be Organized

Prepare a to-do list of things that are important or urgent or both, keeping in mind that what is important may not necessarily be urgent, and what may be seen to be urgent may not be important. Think ahead so that you can make the most effective use of your time. Set aside or eliminate nonessential tasks which do little more than consume time and energy.

Avoid time Wasters

Procrastination and indecision are both thieves of time and productivity. Do not postpone what ought to be done no if it is within your power and resources to do so. Do not allow lives uncertainties to make you indecisive. To be sure, important decisions warrant research and deliberation. According to the author 'Time Management', R.Alex Mackenzie, the following are the top ten time-wasters:

1. Telephone interruptions
2. Drop-in-visitors
3. Ineffective delegation
4. Meetings
5. Lack of objectives/priorities
6. Crisis management
7. Attempting too much at the same time
8. Cluttered desk/disorganization
9. Indecision/procrastination
10. Inability to say 'No'.

Tactics for Time Management

1. Be balanced and realistic: Do not scrimp on sleep and good rest. Learn to relax meaningfully to gain the full physical, emotional and cognitive benefits. Sleep (rest) is sound investment of time because it aids in concentration and consolidates memories. Sleep (rest) deprivation impedes learning and productivity and contributes to accidents, errors and irritability in work-related activities.

2. Be guided by good values: Set your priorities, right. Do not waste time on mundane things that unnecessarily consume time especially when there is an array of important work to do.
3. Do the most unpleasant tasks as one as possible. Once it is out of the way, you will feel more energized to work through the less challenging activities.
4. Allow time for the unexpected: If you feel that you can arrive at the office within about 15 minutes, arrange to be there within 25 minutes. Of you believe an appointment will take an hour, allow an hour and 20 minutes.
5. Use transaction time: Listen to the news or a recording while you shave. Read while riding on it. Of course, you can use that time to relax but do not waste it and then later fret over lost time.
6. When you feel overwhelmed with work, write each task on an index card. Then divide the cards into two groups: Action today and Action tomorrow when tomorrow comes, do the same.
7. Don't be a perfectionist. Know when it is time to stop and move on to the next important activity.
8. Work like a professional. Do not wait for the right mood. Just start working.
9. Reconsider meetings: Although they are essential at times, meetings are great time wasters. Meetings should be held only when important information need to be passed and discussed.

1 Time Savers

Practical Hints to Effective Time Management

1. **Collection of all papers and writing down all the points for discussion.** This will allow the manager to have fewer discussions for longer durations with your boss, colleagues, subordinates, suppliers, clients etc. The effect of this is that much less time is spent
2. **Indecision-** Avoiding indecision by knowing how good the job should be and moving on when that level is reached.
3. **Learn to decline tactfully and firmly:** Inability to say 'No' is a major time-waster. It follows therefore, that lack of confidence or assertiveness or the need to be 'Nice' to others often result in your saying 'Yes' when "you want to say 'NO'. The end result is waste of time.
4. **Delegation-** Delegating effectively can also remove a mountain of papers off your desk. This can be done by putting a tick mark in anyone of the following boxes printed on a small covering sheet.
5. **Meetings and Appointments:** You should develop the habit of saying "meet me between 11 and 11.30 a.m." rather than saying "meet me at 11.00 a.m."

You should also make sure that meetings start in time and that the discussions center around topics on the agenda.

6. **Paper work:** You can eliminate, simplify or standardize all routine correspond once by:

- a) Writing the reply on the original letter itself
- b) Take a xerox copy, if necessary, and return either the original or copy.

7. **Telephone conversations.** Keep your telephone conversation brief and to the point without you sounding rude. Instruct your Secretary to screen all your calls.

WHAT IS STRESS?

Stress is any unpleasant state of emotional and physiological arousal that people experience in situations that they perceive as dangerous or threatening to the well-being of the focal person. Stress as events or situations that causes tensions, pressure or negative emotions, such as anxiety and anger. Stress as the response to situations. physiological changes such as increase heart rate and muscle tension as well as emotional and behavioral changes. Stress as a process involving a person's interpretation and response to a threatening event. In general, stress can be viewed as a function of discrepancies between a person's expectations and ability to meet demands, as well as discrepancies between the individual's expectations and personality. If a person is unable to fulfill role demands, then stress occurs. To the extent entrepreneur's work demands and expectations exceed their abilities to perform as venture initiators, they are likely to experience stress.

Causes of Stress for Entrepreneurs

Most entrepreneurs spend more time at work than in any other single activity. It is not surprising then that jobs or careers are a central source of stress. Some of the factors producing stress in work settings are obvious. Various factors that are capable of causing stress for an entrepreneur may include.

1 Role overload: Entrepreneurs must bear the cost of their mistakes while playing a multitude of roles such as salesperson, recruiter, spokesperson, and negotiator and simultaneous demands can lead to role overload.

2 Environmental pressure: Owning and operating a business require a large commitment of time and energy, often at the expense of family and social activities

3 Negative effects of risks: This is especially a serious problem when heavy losses are incurred.

4 In adequate resources: Resource constraint is a common challenge among business owners. The lack of or inadequacy of human or material resources may result in work or role overload for the entrepreneur.

5 Work overload: Entrepreneurs are often working alone or with a small number of employees and therefore lack the support from other employees especially subordinates that may be available to managers in a large corporation.

6 Personality structure: Most entrepreneurs have personality structure that is referred to as-Type A behavior. This personality structure describes people who are impatient, demanding, and Overstrung type 'A' individuals have tendency to gravitate toward heavy workloads and find themselves completely immersed in their business demands. Some of the distinguishing characteristics associated with Type A personalities as pointed out by Kuratko and Hodgetts (2004) are:

- x Chronic and severe sense of time urgency. For instance, type A people become particularly frustrated in traffic jams.

- x Constant involvement in multiple projects subject to deadlines. Somehow Type A people take delight in the feeling of being swamped with work.

- x Neglect of all aspects of life except work. Workaholics live to work rather than work to live.

- x A tendency to take on excessive responsibility, combined with the feeling that -only I am capable of taking care of this matter.

- x Explosiveness of speech and a tendency to speak faster than most people. Type A people are thus prone to ranting and swearing when upset. A widespread belief in the stress literature is that Type A behavior is related to coronary heart disease and that stress is a contributor to heart disease.

Thus, to better understand stress, entrepreneurs need to be aware of their particular personality as well as the roles and the particular operating environment within which they do business.

7 The Entrepreneurial Ego

A negative effect of an inflated ego is another problem the entrepreneur may experience in addition to the challenges of risk and stress. This is because certain characteristics that usually propel entrepreneurs into success also can be exhibited to their extreme. Four of these characteristics that may hold destructive implications for entrepreneurs are an overbearing need for control, sense of distrust, overriding desire for success, and unrealistic optimism.

An overbearing Need for control: Entrepreneurs are mostly driven by a strong desire to control both their venture and their destiny. This internal locus of control spills over into preoccupations with controlling everything. An obsession for autonomy and control may cause entrepreneurs to work in structured situations only when they have created the structure on their terms. This, of course, has serious implications for networking in an entrepreneurial team, since entrepreneurs can visualize the external control by others as a threat of subjection or infringement on their will. Thus, the same characteristic that entrepreneurs need for successful venture creation also contains within it a destructive side.

Sense of Distrust: To remain alert to competition, customers, and government regulations, entrepreneurs are continually scanning the environment. They try to anticipate and act on developments that others might recognize too late. This distrustful state can result in their focusing on trivial things, causing them to lose sight of reality, to distort reasoning and logic, and to take destructive actions, again, distrust is a dual-edged characteristic.

Overriding Desire for Success: The entrepreneur's ego is involved in the desire for success. Although many of today's entrepreneurs believe they are living on the edge of existence, constantly stirring within them is a strong desire to succeed in spite of the odds. Thus, the entrepreneur rises up as a defiant person who creatively acts to deny any feelings of insignificance. The individual is driven to succeed and takes pride in demonstrating that success. Therein lie the seeds of possible destructiveness. If the entrepreneur seeks to demonstrate achievement through the erection of a monument, such as a huge office building, an imposing factory, or a plush office; then the danger exists that the individual will become more important than the venture itself. Losing perspective like this can, of course, be the destructive side of the desire to succeed.

Unrealistic Optimism: The ceaseless optimism that emanates from entrepreneurs (even through the bleak times) is a key factor in the drive toward success. Entrepreneurs maintain a high enthusiasm level that becomes an external optimism that allows others to believe in them during rough periods. However, when taken to its extreme, this optimistic attitude can lead to a fantasy approach to the business. A self-deceptive state may arise in which entrepreneurs ignore trends, facts and reports and delude themselves into thinking everything will turn out fine. This type of behaviour can lead to an inability to handle the reality of the business world.

These examples do not imply that all entrepreneurs fall prey to these scenarios nor that each of the characteristics presented always gives Way to the -destructive side.

Nevertheless, all potential entrepreneurs need to know that the dark side of entrepreneurship exist.

General Causes of Stress

Hassan (2009) identified the following stressors

1. Very busy schedules
2. Pressure to meet deadlines
3. Little time available for tasks
4. Poor evaluation by a supervisor

5. Argument with a friend
6. Threat of failure or personal humiliation
7. Extreme fears (Phobias)
8. Major life events
9. Catastrophic Events
10. Major life events
11. Daily Hassles
12. Work pressures
13. Personal issues

Warning signs of Work-Related Stress

The symptoms of stress include:

1. Problems getting to sleep and/or staying asleep;
2. Constant fatigue;
3. Poor concentration or forgetfulness;
4. Feeling fearful, anxious or overwhelmed;
5. Frequent urination;
6. Nervous diarrhea;
7. Over-reaction to small things;
8. Frequent anger or frustration;
9. Light-headlines;
10. Lowered sexual desire and/or performance;
11. Muscle tension or pain;
12. Fainness, dizziness;
13. Poor appetite;
14. Being jumpy or easily startled
15. Sweating, shaking or nervousness;
16. Stomach cramps;
17. Shortness of breath with exercising;
18. Reduced work efficiency;
19. Over-use of alcohol or misuse of prescribed drugs;
20. Headaches or migraines;
21. Heartburns

22. Moodiness and

23. Skin rashes

Coping Strategies for Work-Related Stress

1. Openly admitting (acknowledging) problem
2. Problem-focused coping
3. Emotion-focused coping
4. Social support
5. Relaxation/mediation
6. Change of scene
7. Taking time off work
8. Sports and other leisure activities

The following recommendations are made to effectively cope with or manage work related stress:

1. Set realistic goals and time frames. Setting specific goals helps direct efforts, increases persistence on tasks and provides important feedback that allows you to chart your progress. But be realistic. Sometimes we create our own stressors by trying to accomplish too much in a day.
2. Don't try to be superman. When you are already busy and feeling overloaded, don't take on more projects. You will not impress your boss by how much you take on, but by how much you accomplish.
3. Schedule and organize: Use a daily planner and organize your activities. A critical component of organization is to prioritize tasks. Tackle the most important task first.
4. Anticipate stress and be ready to respond: Analyze the likely causes of stress in your job and plan a response to them. For example, if an abrasive coworker is making work unpleasant think of a productive way to handle your next alternation and rehearse it ahead of time.
5. Maintain as positive attitude: Negative thoughts and emotions often add to stress by disrupting task focus and decreasing motivation. Think positively about your work and seek self-satisfaction in what you do.
6. Reduce procrastination: Most times people procrastinate because they either don't know how to do the task or they are indecisive about how to approach it. Overcome self-doubt by breaking the over-all task into smaller, more manageable Chunks.
7. Try to give yourself downtime and get adequate rest: Better is a handful of rest than two handfuls of hard work and chasing after the wind. Set sound proximities and adopt a modest lifestyle. Consider implying your life perhaps by reducing time spent at work.
8. If conflict with others in the work place is the source of your stress, try to stay calm when it happens. Try to settle the differences privately and respectfully, thus dignifying the other person. Try to gain insight into his or her feelings and viewpoints. Such insight slows down one's anger because it puts one in the other person's shoes. As long as it depends on you, try to forgive because a forgiving attitude reduces stress.